

ARC Research

Global Macro & AI Research

Weekly market update

The AI unwind · Nov 2–6, 2026 · Data as of Nov 6 close

AGENDA

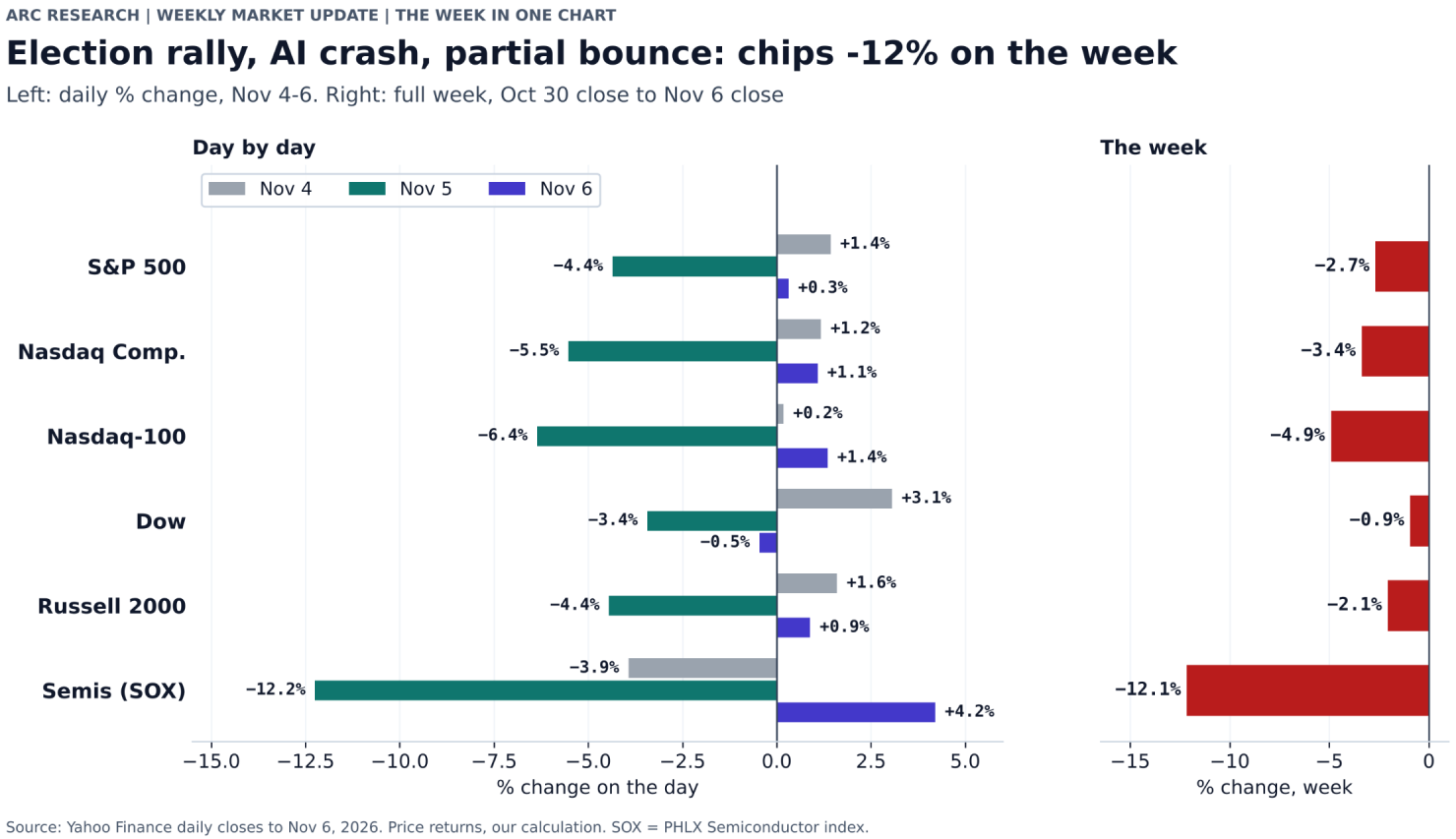
Four sections: the break, the rotation, the why, Asia

01	**The Nov 5 break**	Midterms, crash, forced selling, RSI and trend	Slides 6–14
02	**The rotation**	Sectors, breadth, small caps, stress test, history	Slides 15–20
03	**Is it fundamental?**	Earnings, capex, rates, gold, AI stocks	Slides 21–31
04	**Global: Asia**	India flows and sectors, Korea, Japan	Slides 32–36

Also: three days in one chart (3) · Friday: jobs and the close (4) · US GDP (5) · ARC Research view (37) · Sources (38)

THREE DAYS IN ONE CHART

Election rally, AI crash, partial bounce



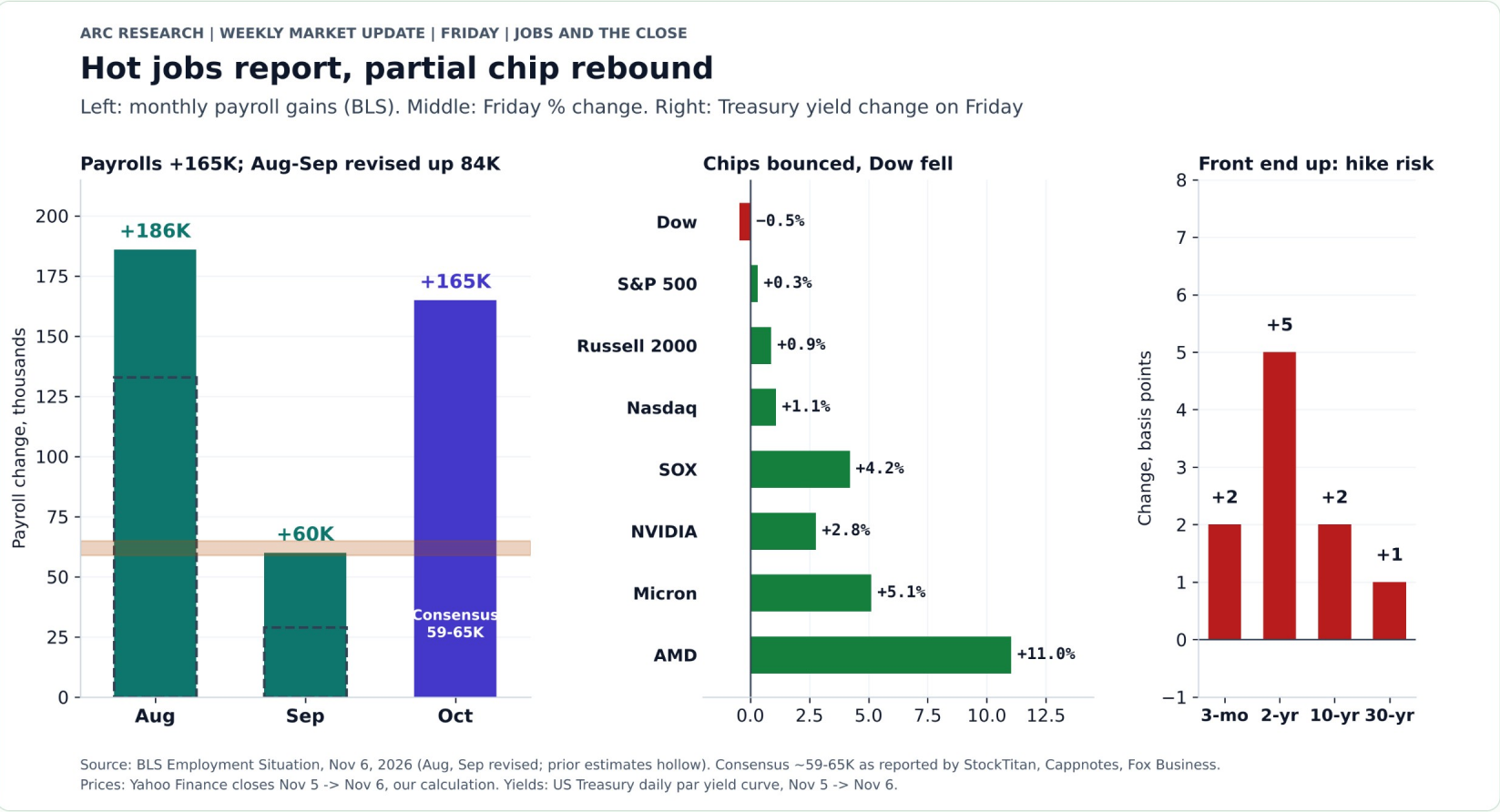
SO WHAT

Nov 4: Dow +3.1%, chips slipping

Nov 5: chips −12%, Nasdaq-100 −6.4%

Week: chips −12.1%, S&P −2.7%

Hot jobs report, partial chip rebound



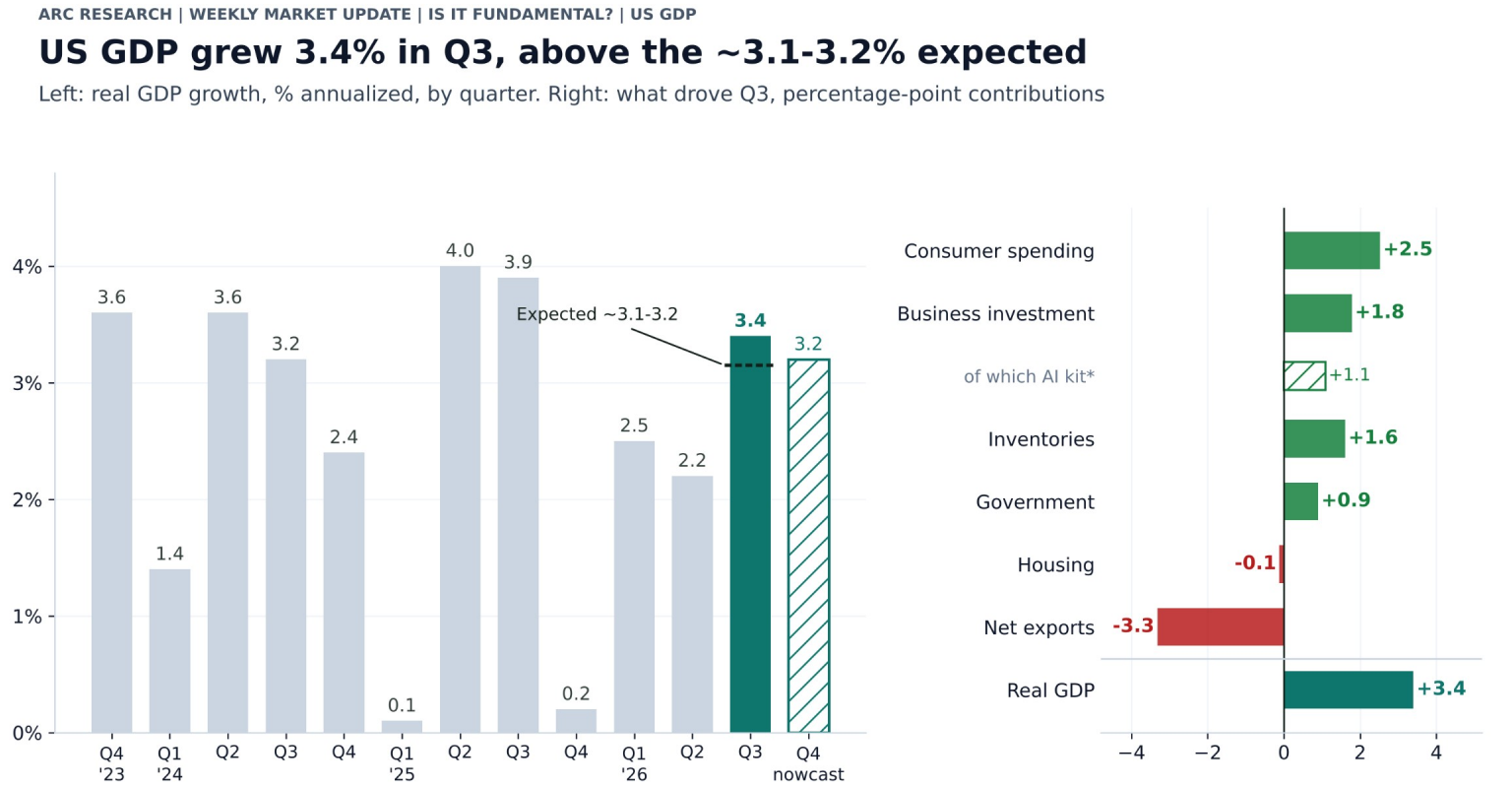
SO WHAT

+165K jobs vs ~60K expected

2-yr +5bp: hike risk up

Chips won back about a third

GDP +3.4% in Q3, ahead of forecasts



SO WHAT

Private demand strong: +4.9%

AI kit added ~1.1 points; imports took much back

Core PCE 2.5%: no case for cuts

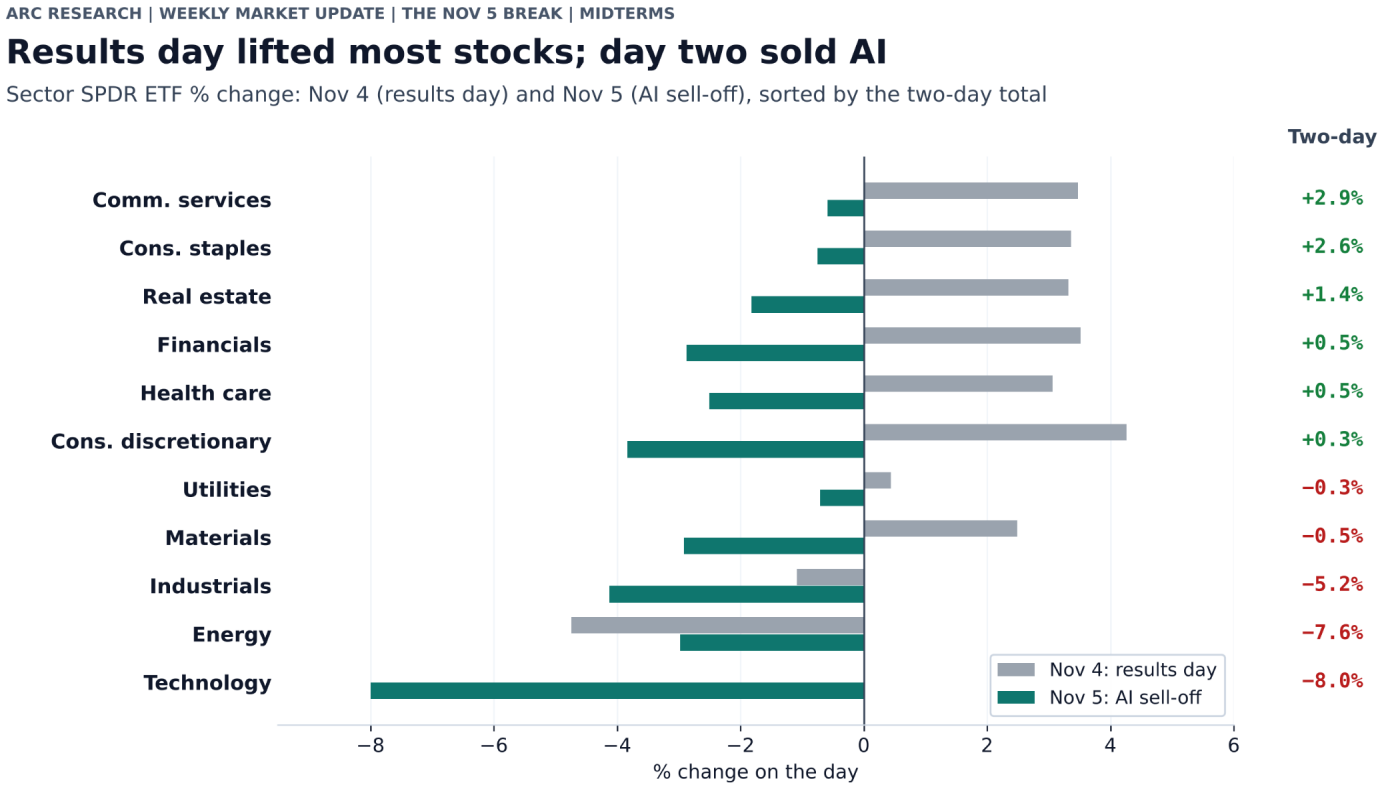
SECTION 1 OF 4

The Nov 5 break

A fragile AI trade met the midterm result

7 Midterms: rally, then sell-off
8 Chips vs the indexes
9 Rules-based selling
10 The volatility spike
11 Nasdaq below its 200-day
12 RSI, 50-day and past breaks
13 Weakness since summer
14 Levels to watch

Rally on the result, then AI sold off



Source: Yahoo Finance closes, Nov 3 (election day) to Nov 5; our calculation. ETFs proxy GICS sectors.
Election outcome: ABC News projects Democrats gain control of the House and Senate (Nov 4). Policy reading is press-reported (Fox Business, Nov 6).

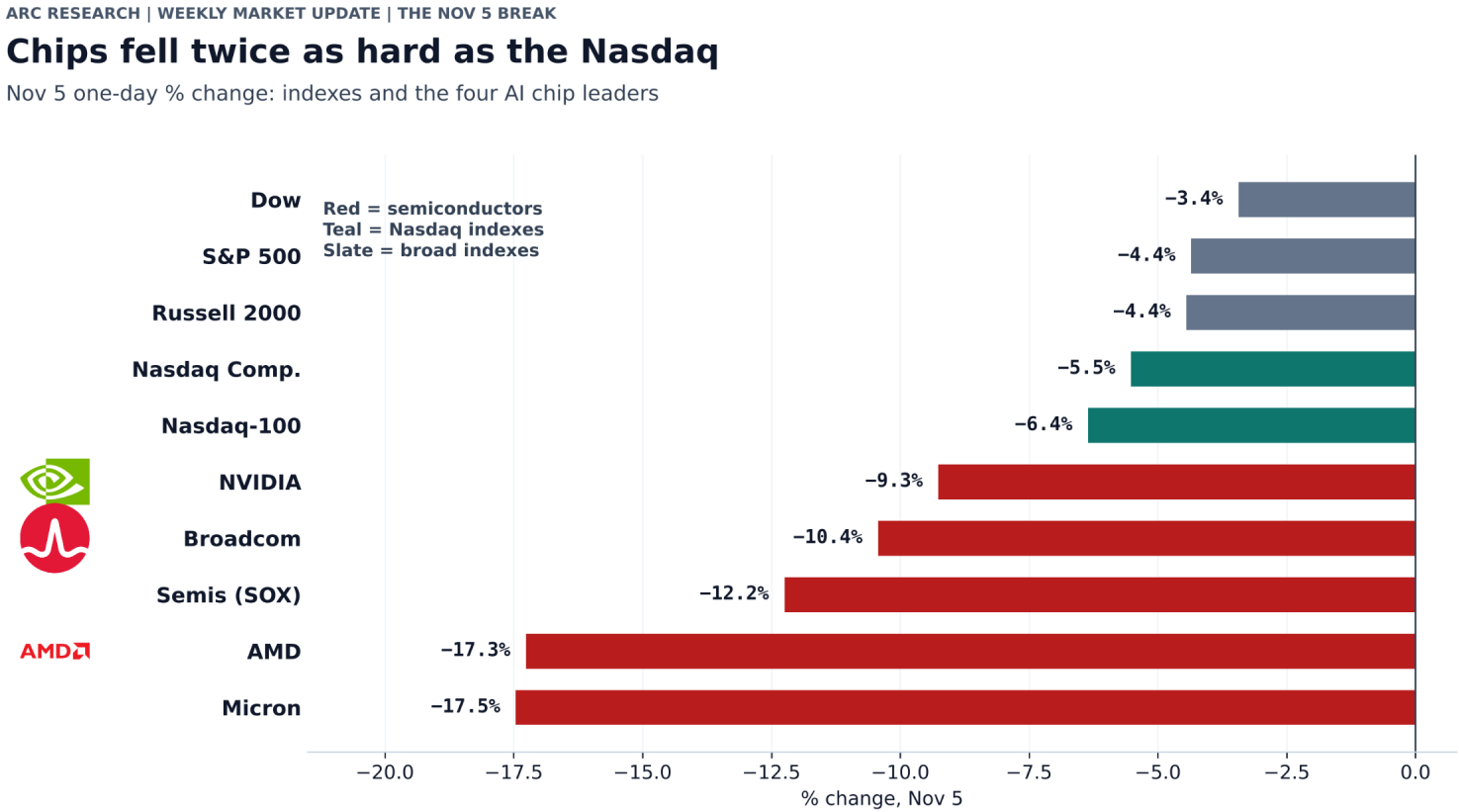
SO WHAT

Democrats projected to take both chambers

Fear: AI rules, data-center limits

Tech −8.0%, energy −7.6% in 2 days

Chips fell twice as hard as the Nasdaq



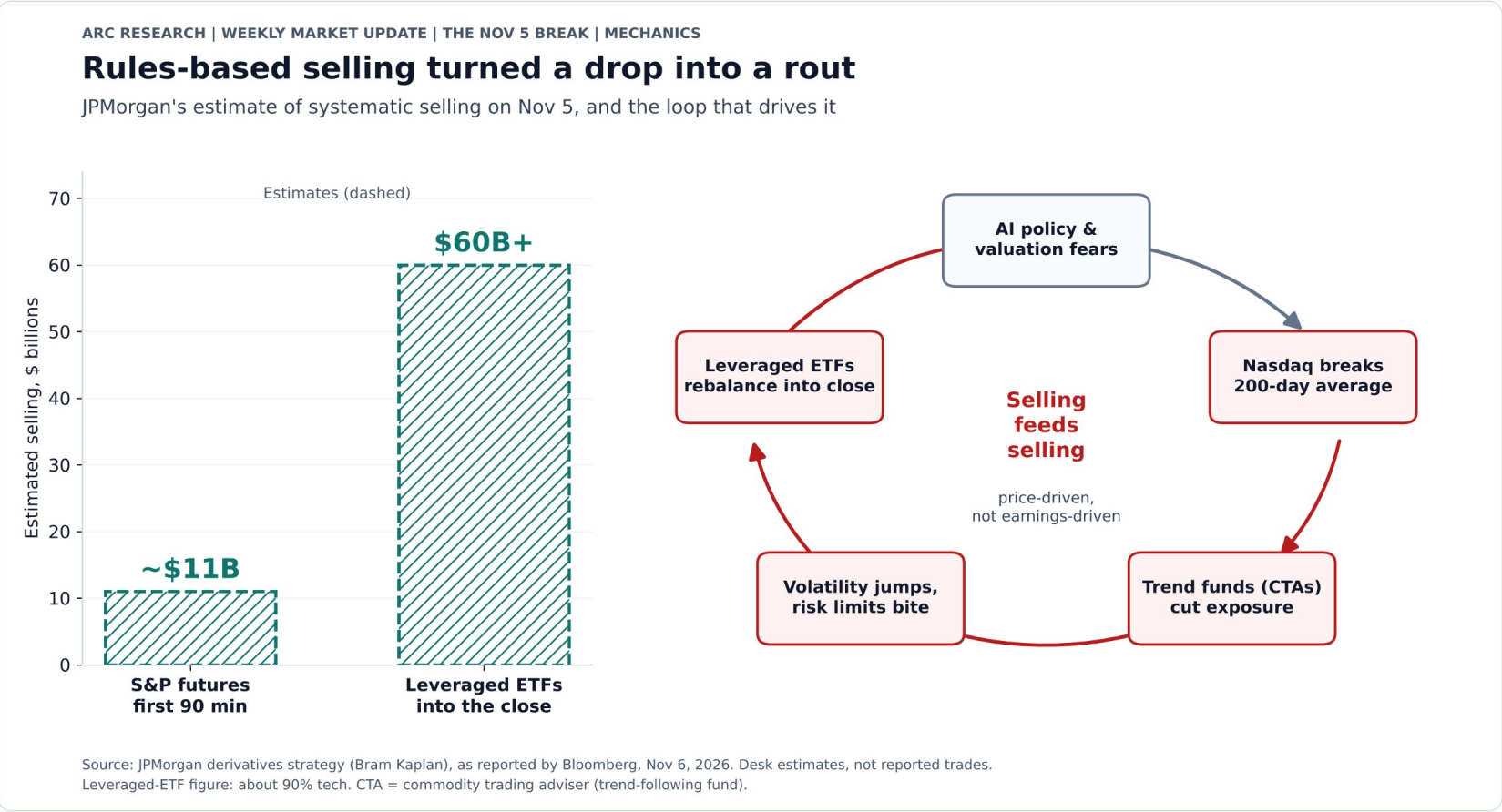
SO WHAT

Micron −17.5%, AMD −17.3%

~$2.3T off the Nasdaq-100

All 11 sectors fell

Rules-based selling turned a drop into a rout



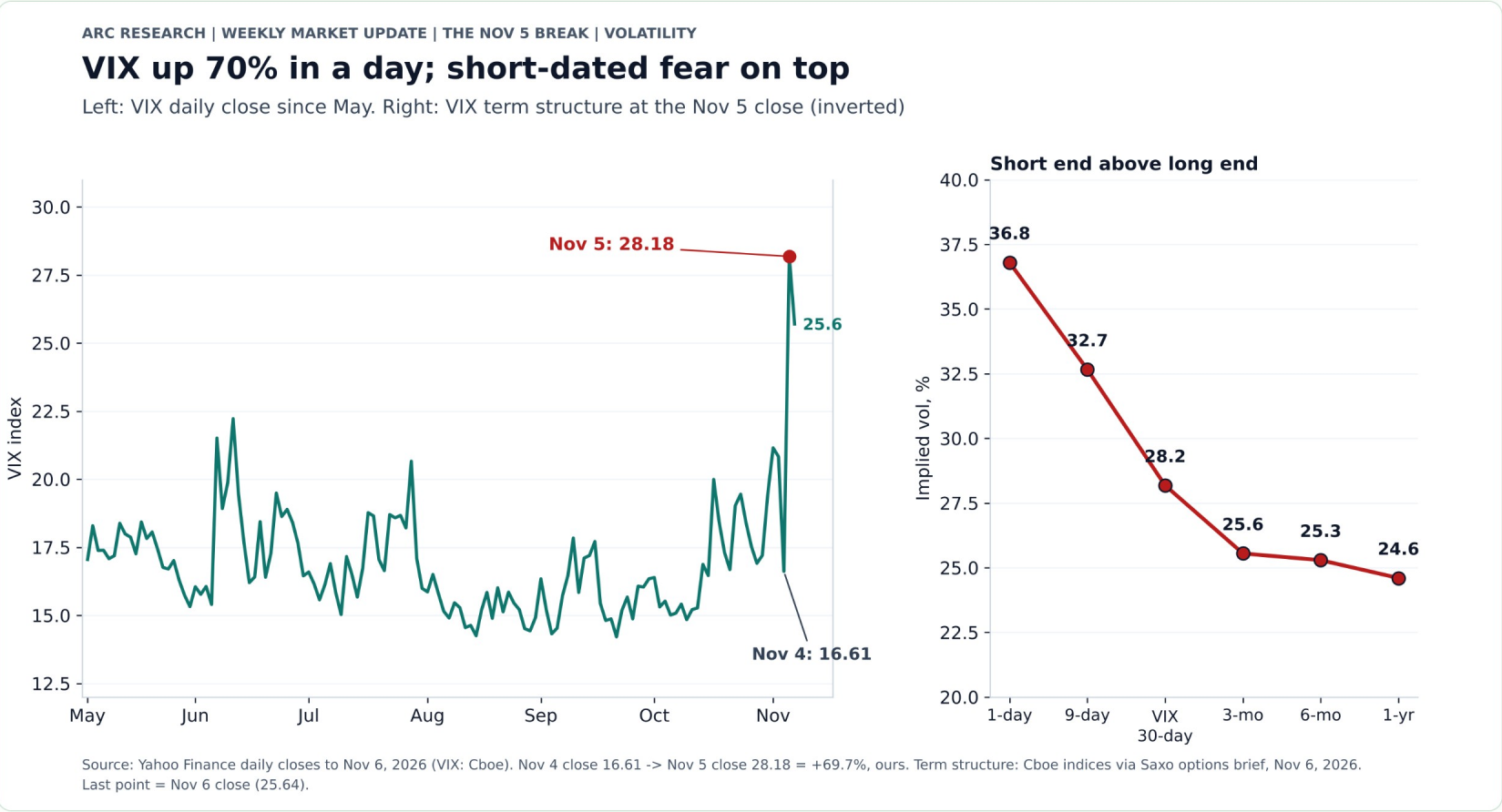
SO WHAT

~$11B futures sold in 90 min

$60B+ leveraged-ETF selling

Tech hedge funds −4%+

VIX up 70% in a day; the curve inverted



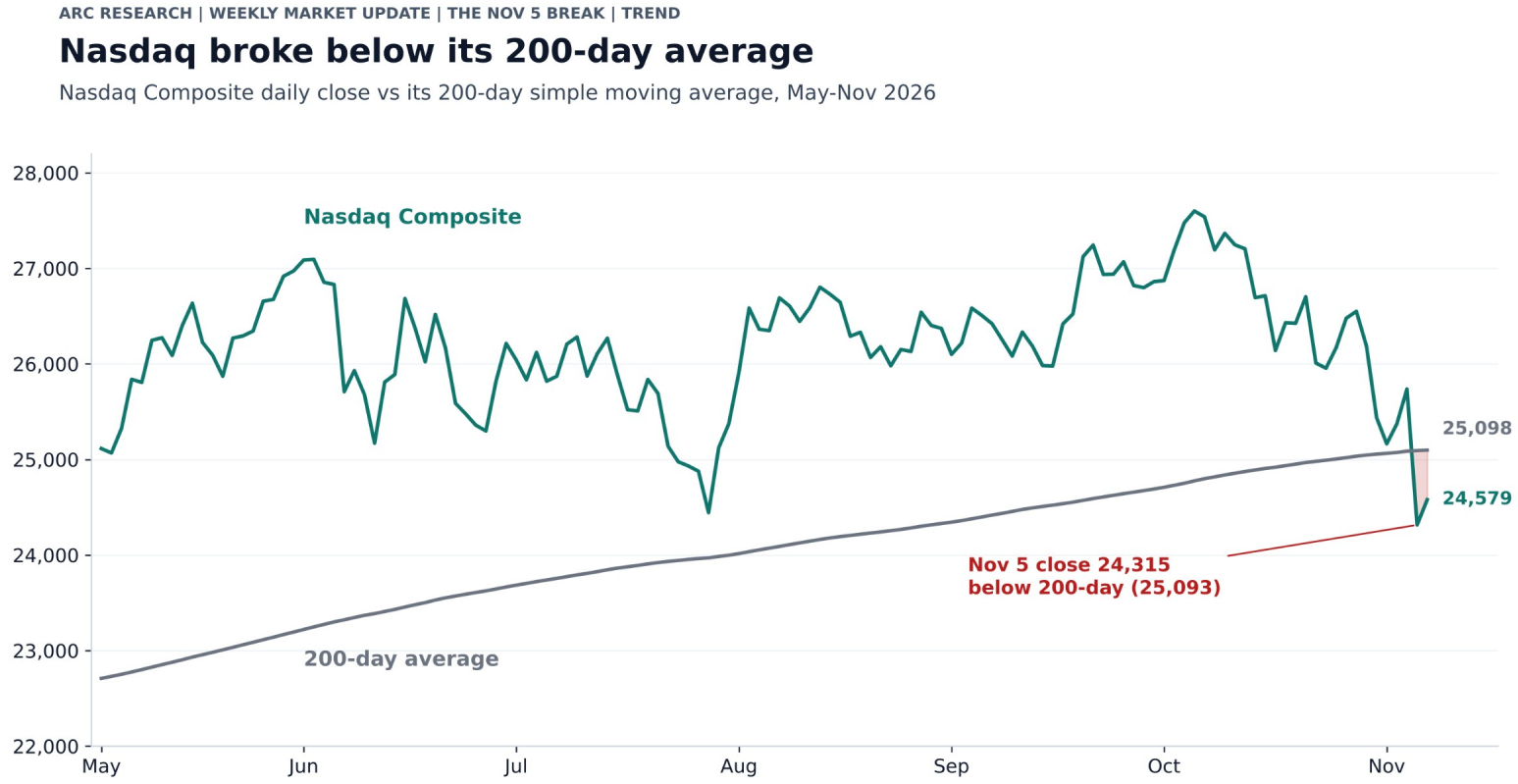
SO WHAT

16.61 → 28.18 in a day

Short-dated fear on top

Eased to 25.6, still high

Nasdaq broke below its 200-day average



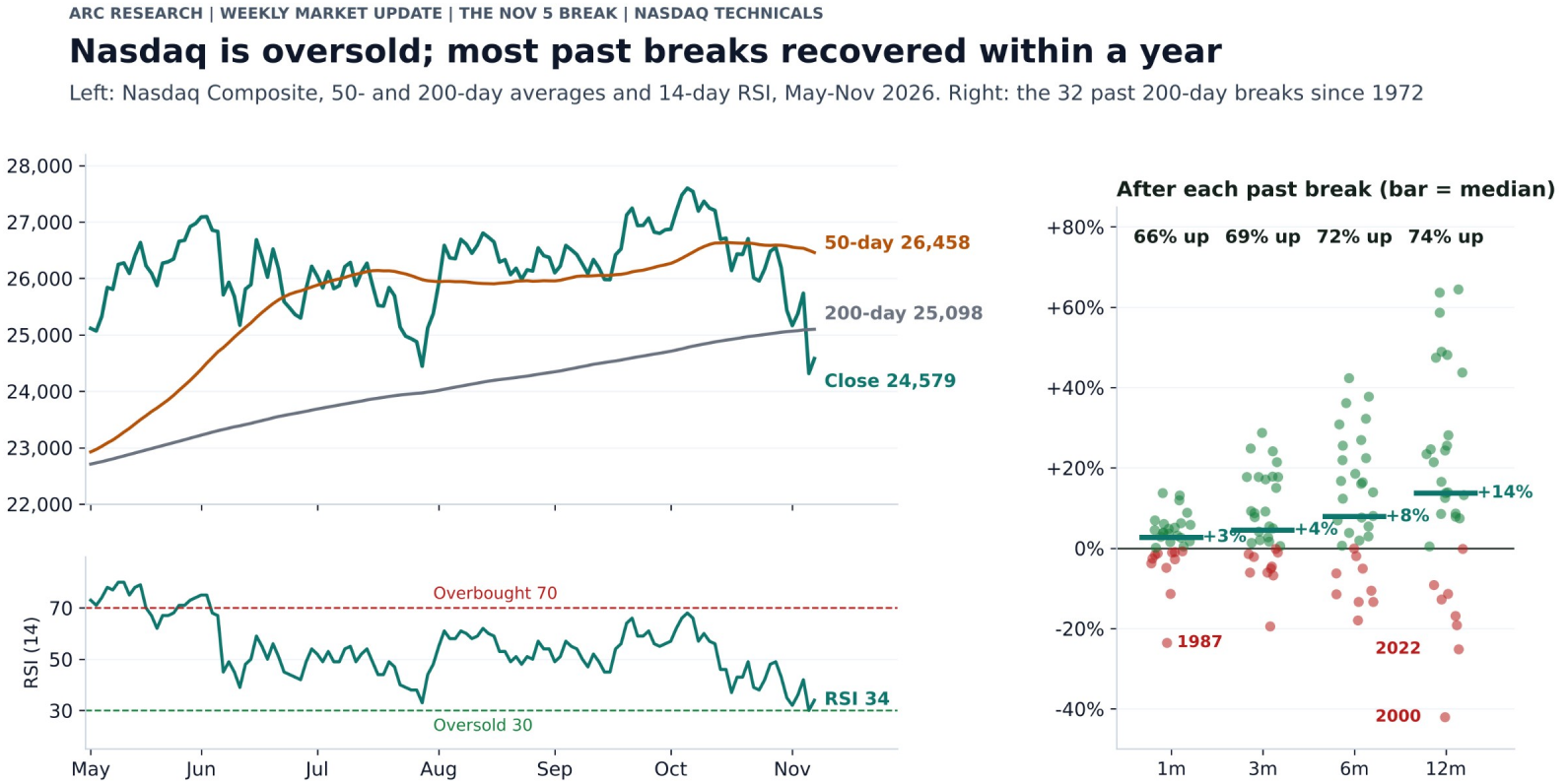
SO WHAT

Close 24,315 vs 25,093

Still below on Friday

Reclaim = first repair sign

Oversold; past breaks mostly recovered



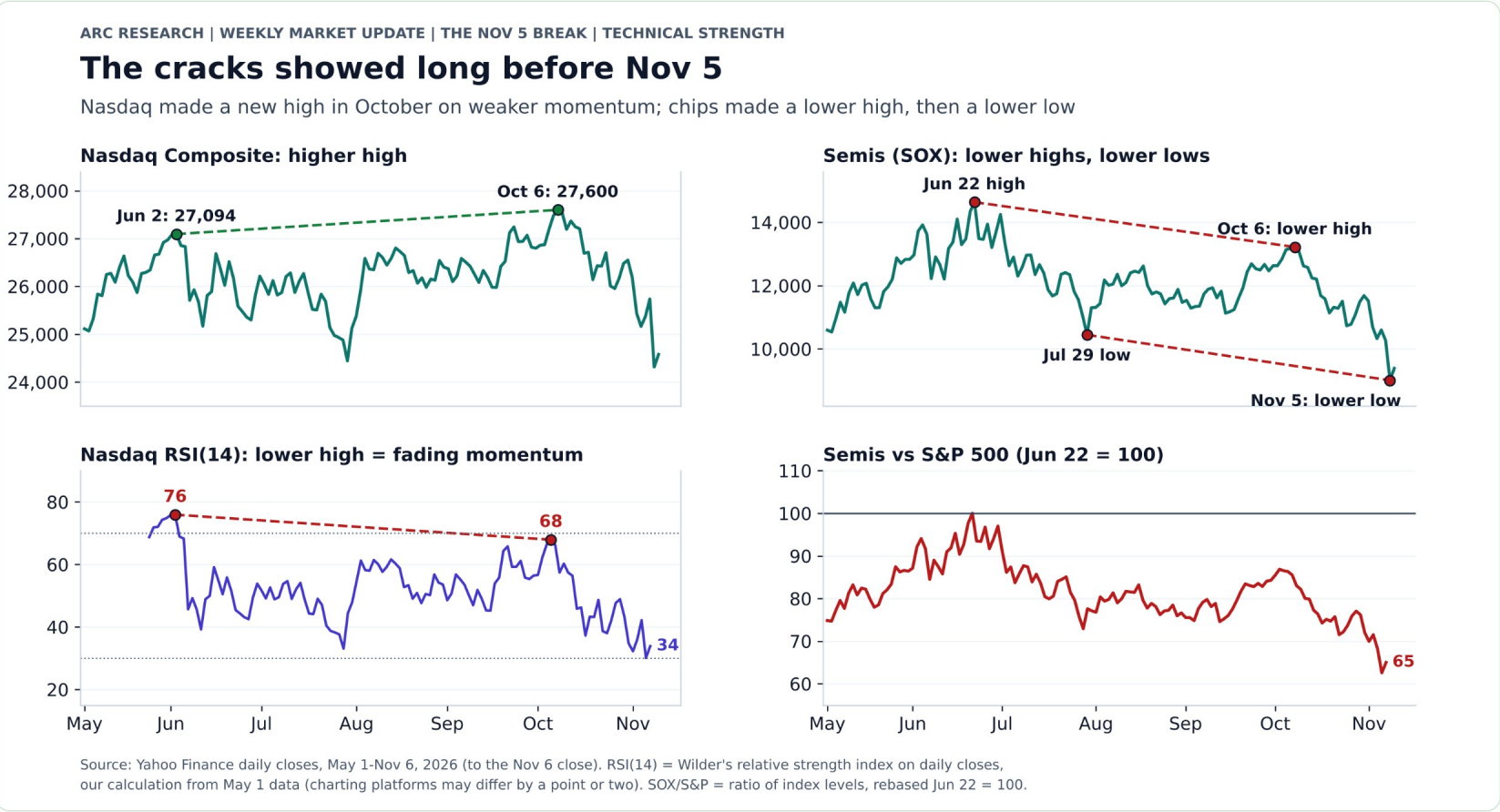
SO WHAT

RSI hit 30: oversold

8% below 50-day: deeper than 25 of 32 past breaks

After past breaks: +14% median a year on; 2000, 2022 the exceptions

Weakness built up since summer



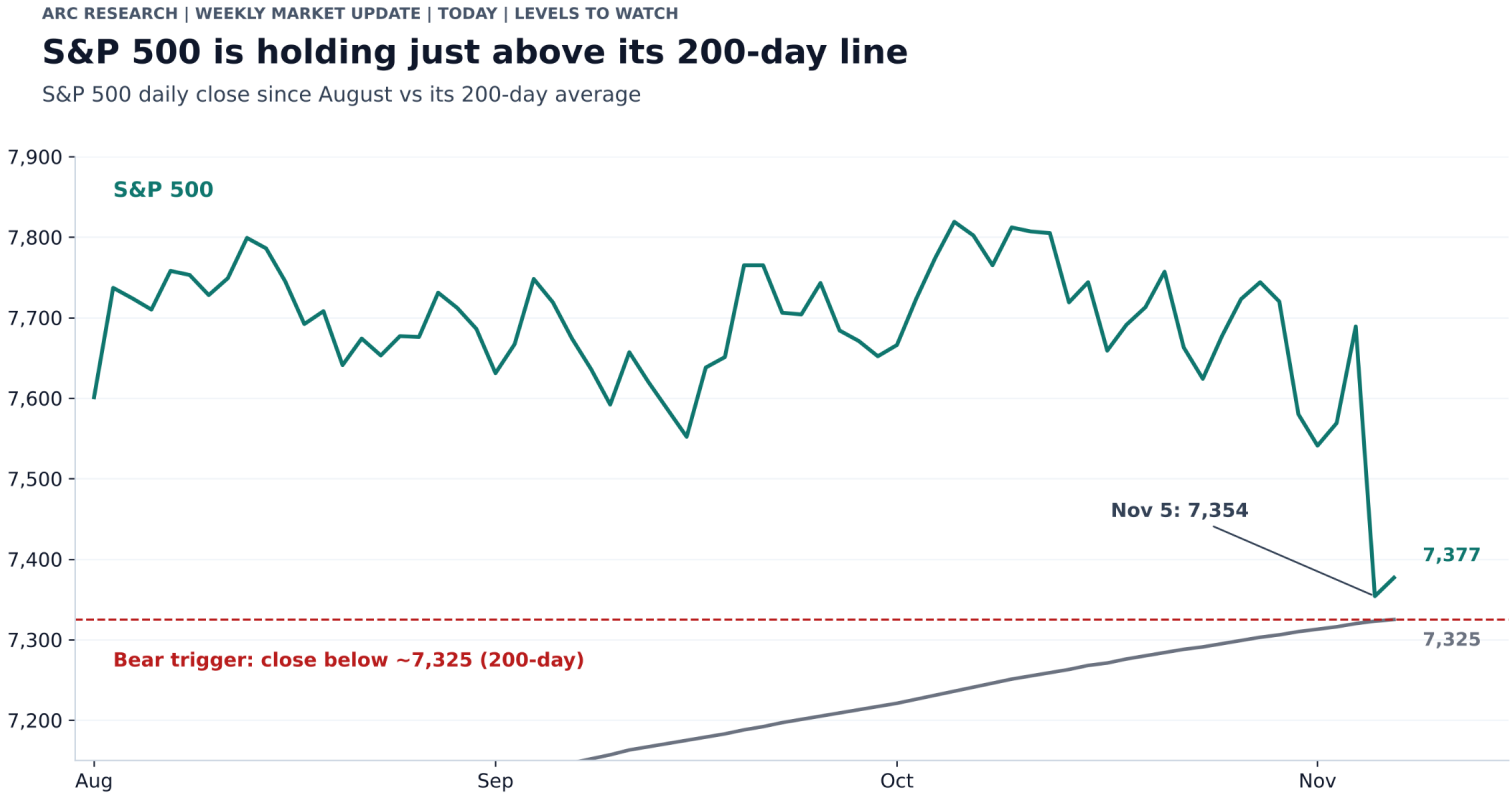
SO WHAT

New Nasdaq high, weaker RSI

Chips: lower highs, lower lows

Semis vs S&P −37% since June

S&P holds its 200-day; Nasdaq doesn’t



LEVELS

S&P 200-day: ~7,325

Nasdaq 200-day: ~25,100

VIX: below 20 calm, above 28 stress

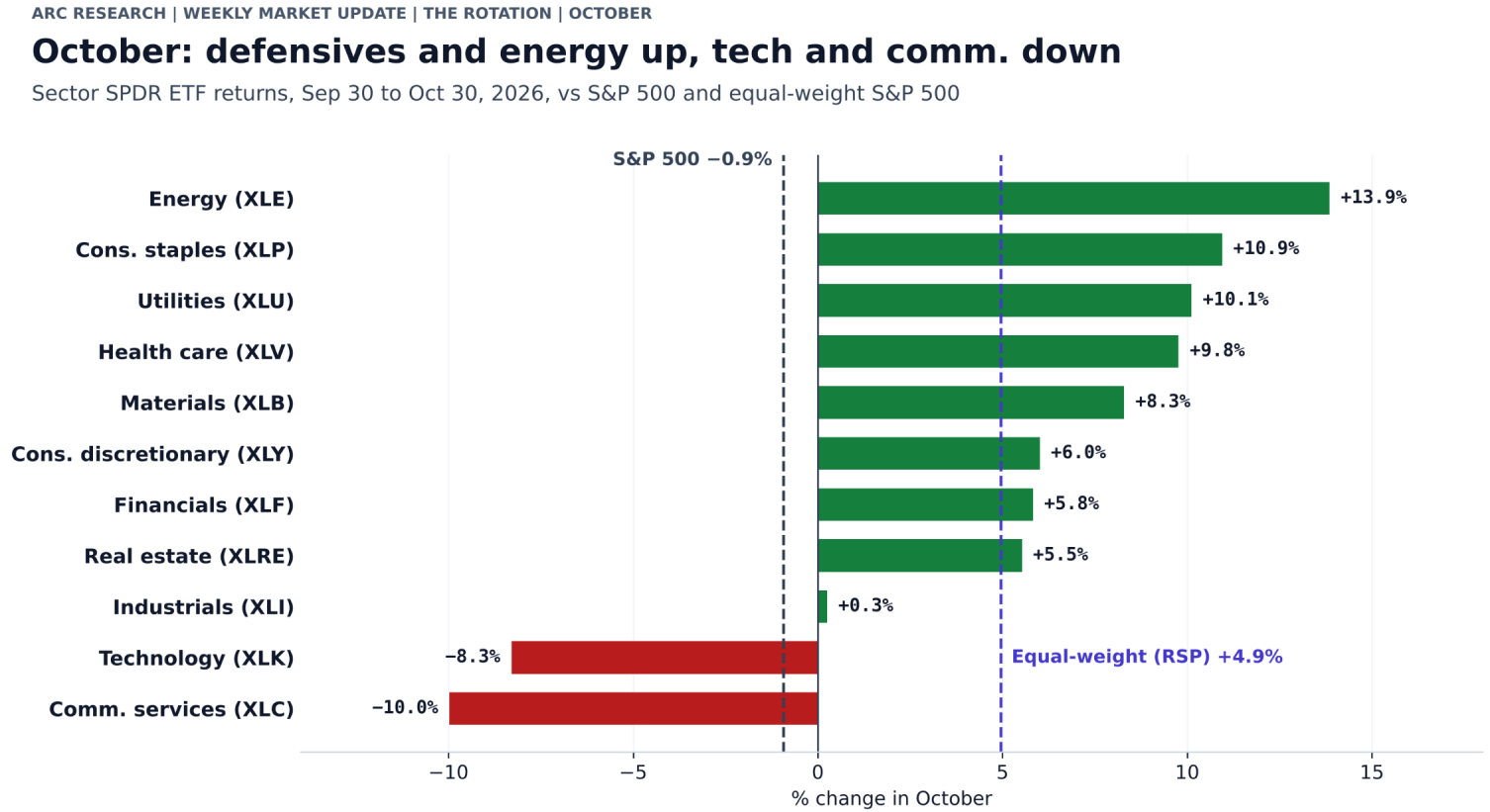
SECTION 2 OF 4

The rotation

Money left AI megacaps weeks before the crash

16 October sector returns
17 Equal-weight vs cap-weight
18 Small caps: Russell 2000
19 Crash-day stress test
20 Does it last? History

October: money left tech for defensives



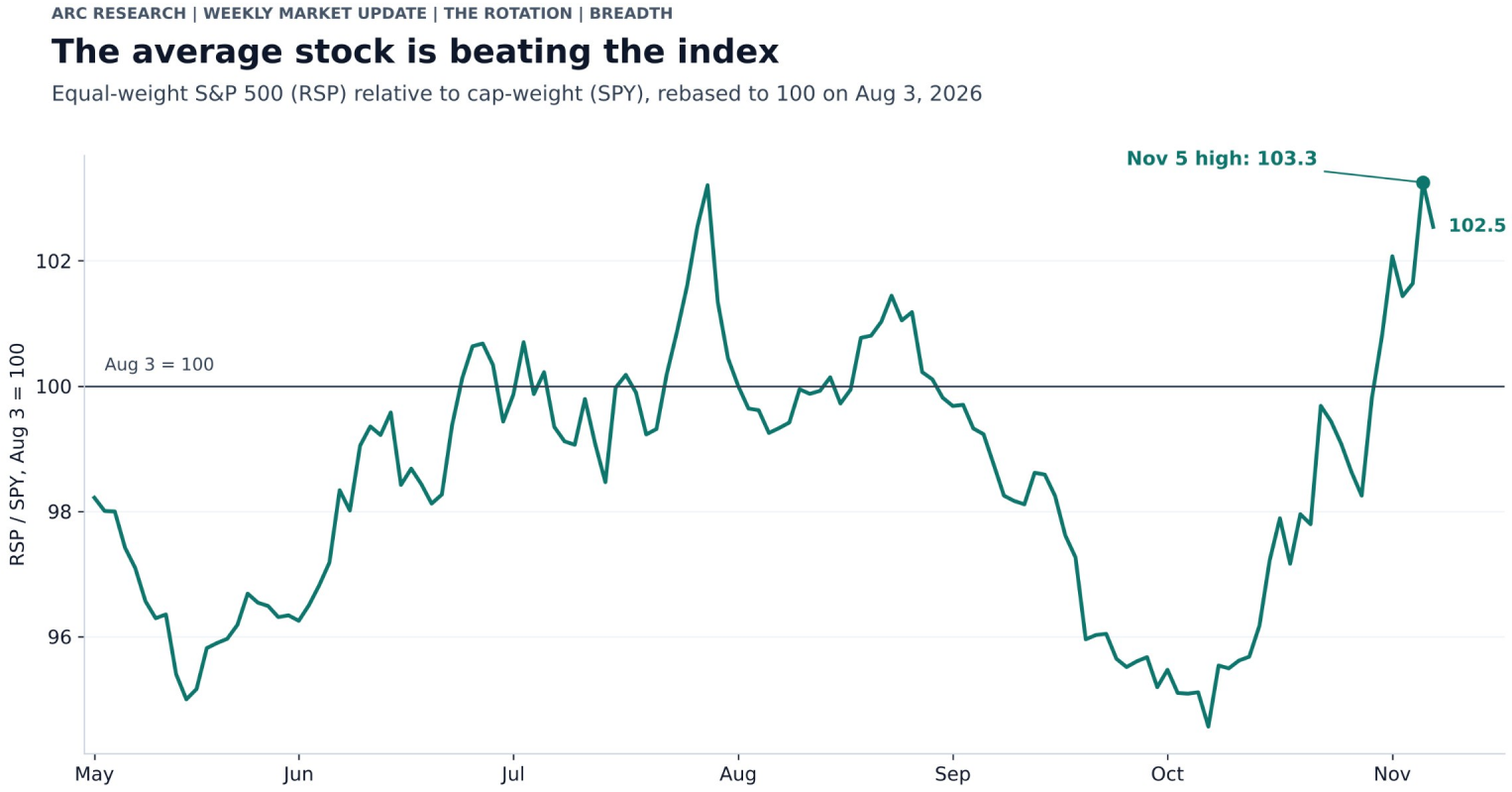
SO WHAT

9 of 11 sectors up

Tech −8.3%, comm. −10.0%

Equal-weight +4.9%
vs −0.9%

The average stock is beating the index



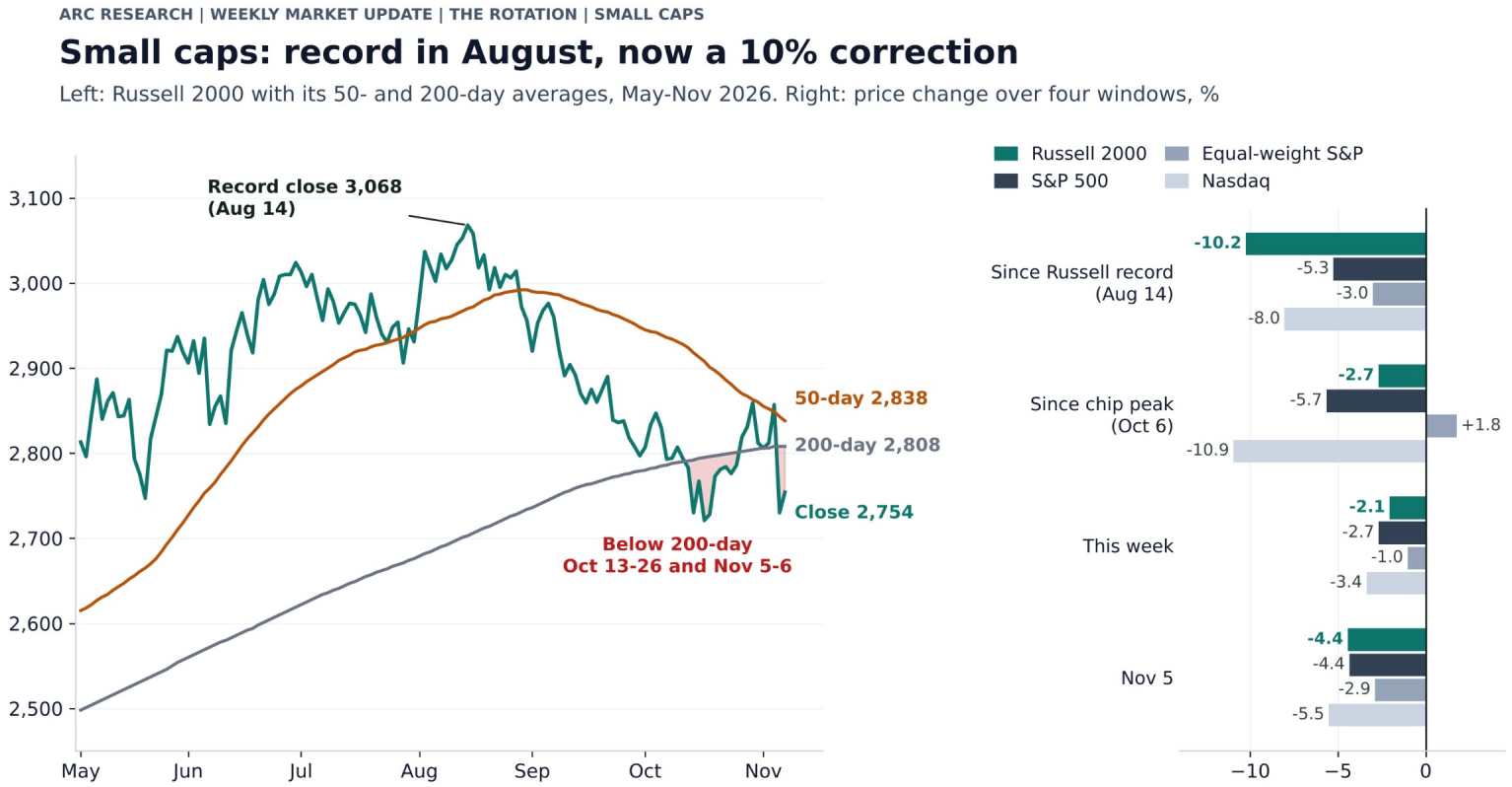
SO WHAT

+9% vs SPY since Oct 7

Ratio rose on the crash day

Breadth over megacaps

Small caps missed the rotation



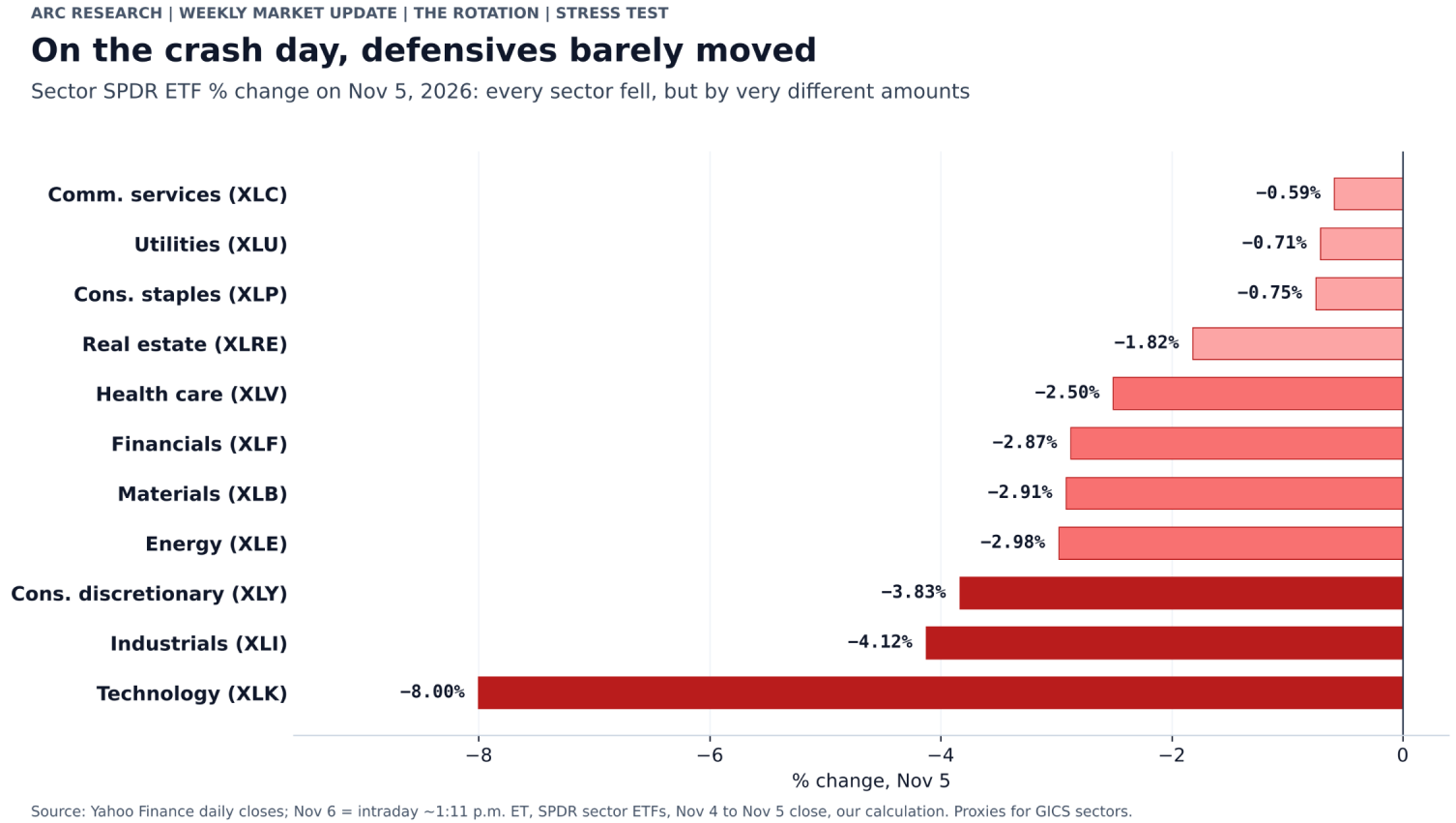
SO WHAT

−10% from Aug record: a correction

Back below its 200-day

Fell as much as the S&P on Nov 5

On the crash day, defensives barely moved



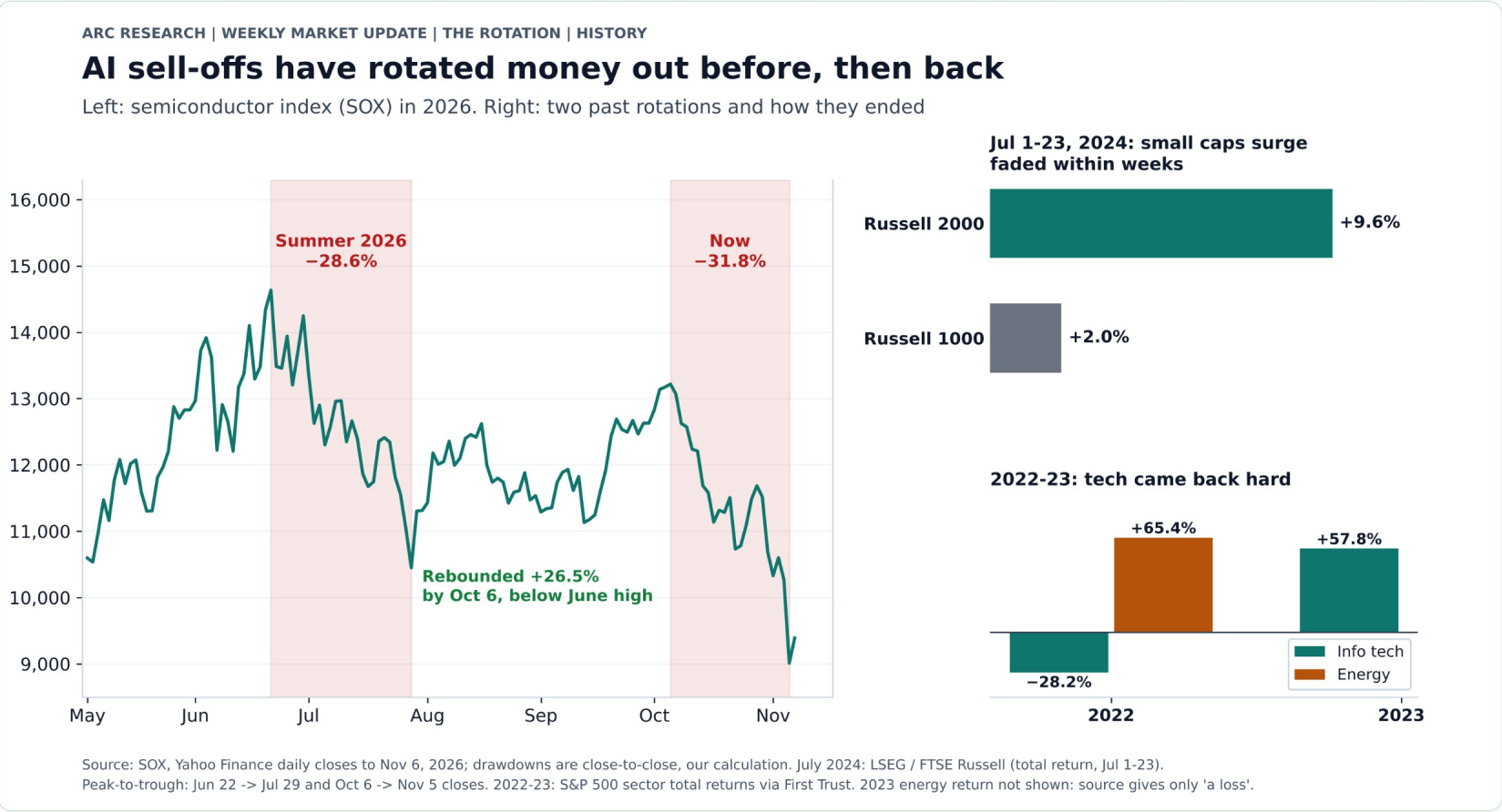
SO WHAT

Tech −8.0%

Utilities, staples ~−0.7%

Rotation held under stress

Past AI sell-offs rotated money out, then back



SO WHAT

Summer 2026: −29%, then a rebound

Jul 2024: faded in weeks

Lasting shifts need new earnings

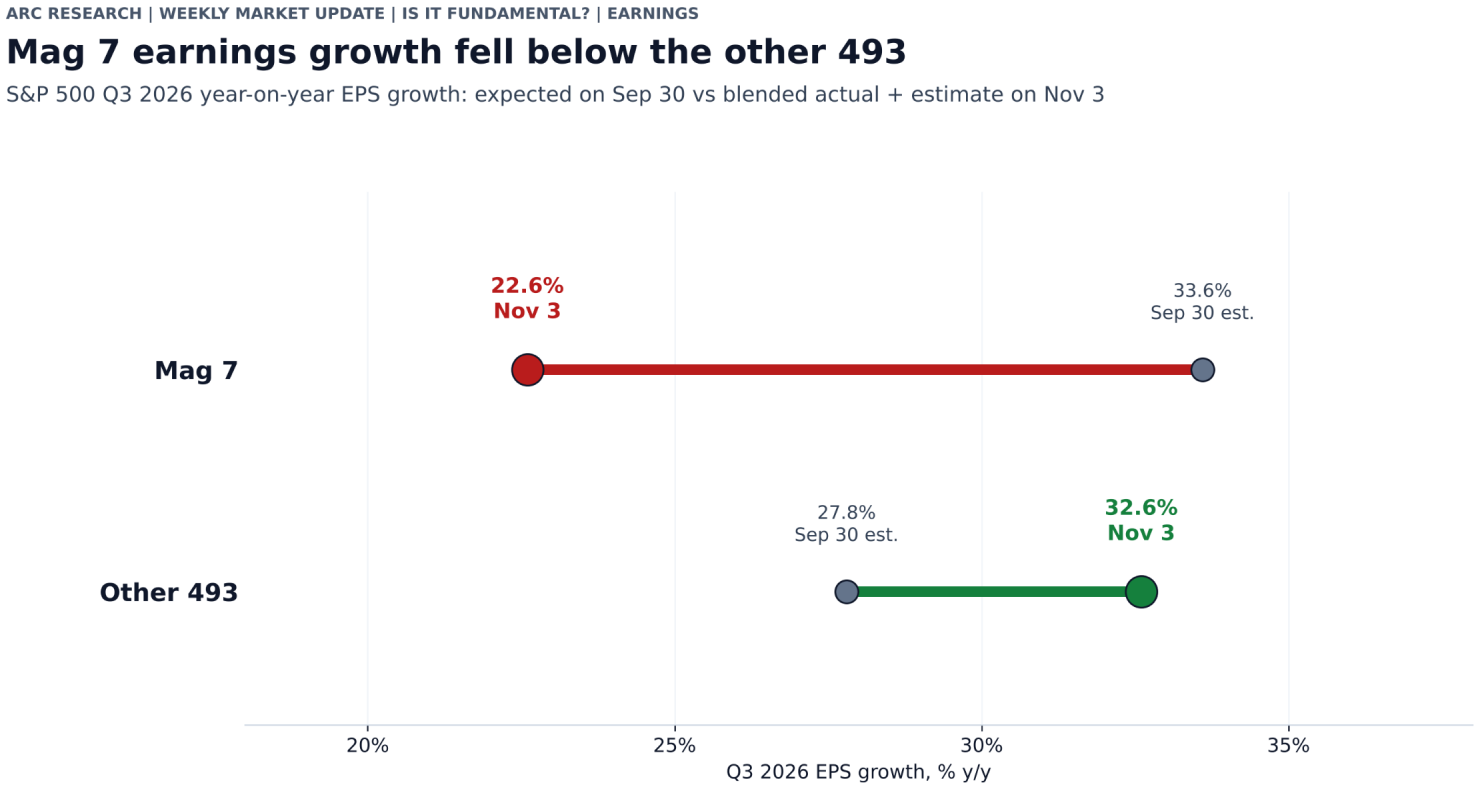
SECTION 3 OF 4

Is it fundamental?

Earnings growth is broadening; investors pay less for it

22 Mag 7 vs the other 493
23 Earnings week reactions
24 Big tech capex and debt
25 Earnings risk premium is up
26 Bonds vs stocks
27 2- and 10-year Treasuries
28 Gold
29 Anthropic IPO valuation
30 CoreWeave: leverage breaks
31 Why health care

Mag 7 earnings growth fell below the other 493



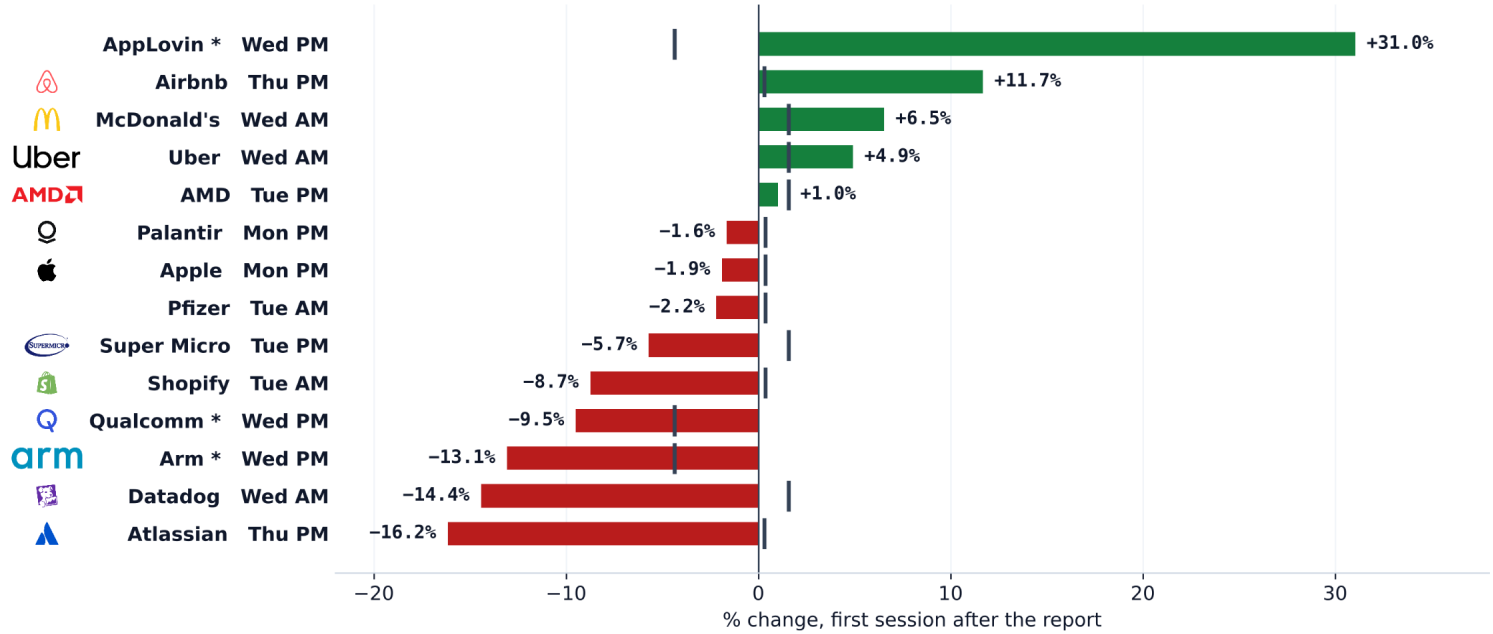
SO WHAT

22.6% vs 32.6%

First time since Q4 2022

Partly one-off charges

Beats weren’t enough: guidance decided



Source: Yahoo Finance closes; close before the report to first close after it, our calculation. Reports: company releases / SEC 8-K (AppLovin, AMD, Palantir, Super Micro, Arm), Yahoo Finance live blog and StockStory for others. Most beat EPS estimates; exceptions and conflicts in the notes. * Reaction day = Nov 5, the AI sell-off (S&P -4.4%).

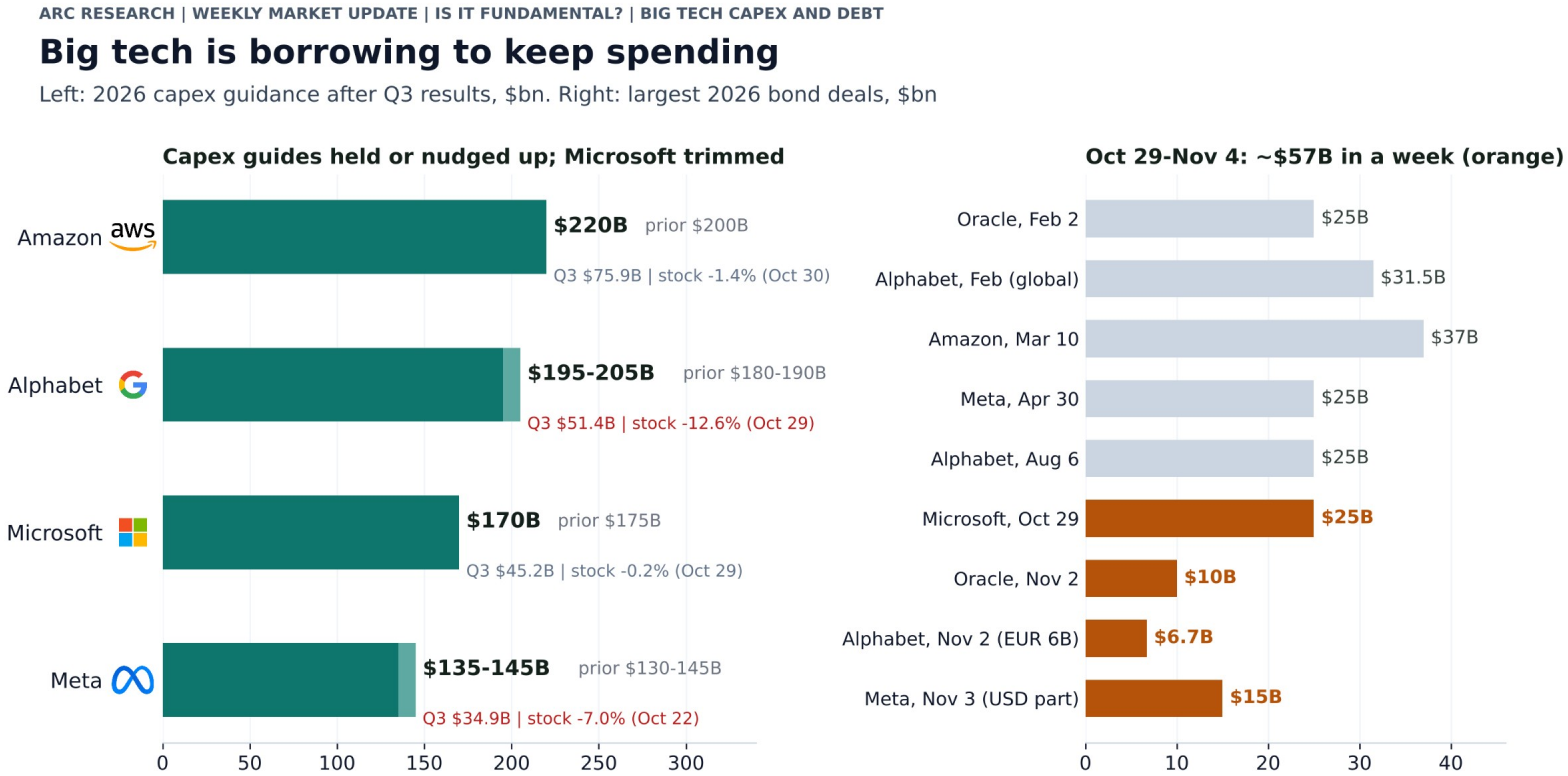
SO WHAT

Raised guides won:
APP, ABNB

Soft outlooks hit:
TEAM, DDOG

AI hardware sold
despite beats

Big tech is borrowing to keep spending



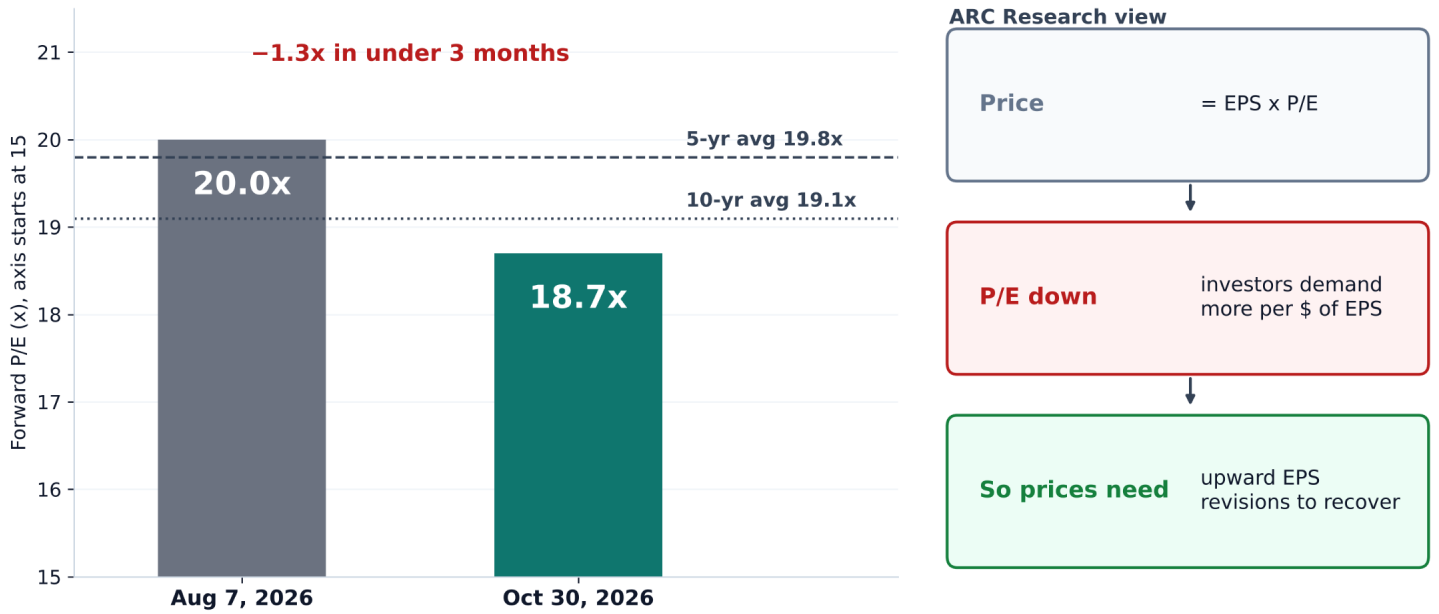
SO WHAT

~$730B of 2026 capex from four companies; 2027 “significantly” higher

~$57B of bonds in one week, at wider spreads

Spend-heavy prints punished: Alphabet −13%, Meta −7%

Investors want more earnings per dollar



Source: FactSet Earnings Insight, Aug 7 and Oct 30, 2026 (forward 12-month P/E; 5-yr avg 19.8, 10-yr avg 19.1).
Oct 30 reading predates the Nov 5 sell-off. Higher required return on earnings = ARC Research interpretation, not a FactSet statement.

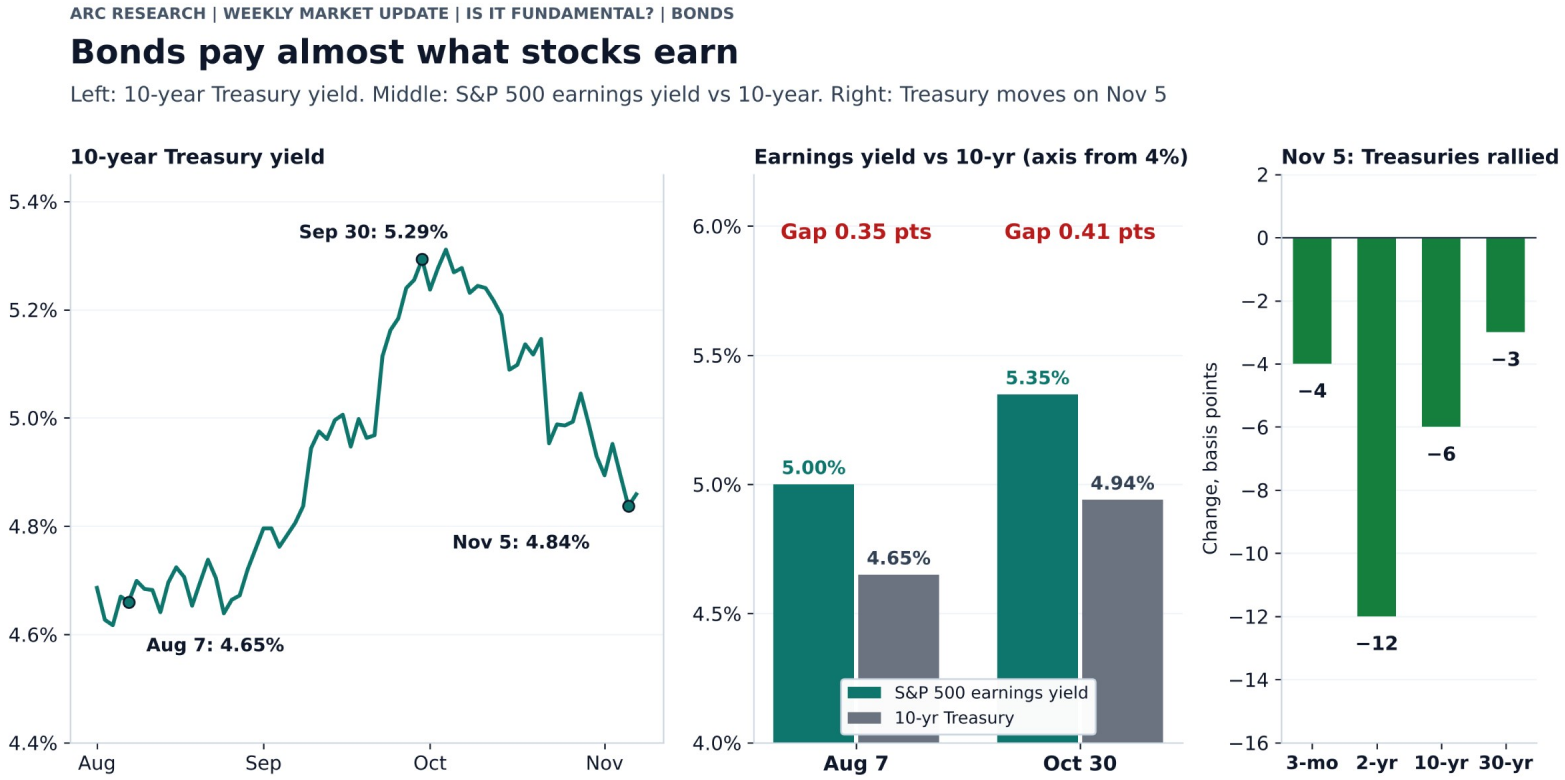
SO WHAT

Forward P/E 20.0x → 18.7x

Risk premium on earnings up

Recovery needs EPS upgrades

Bonds pay almost what stocks earn



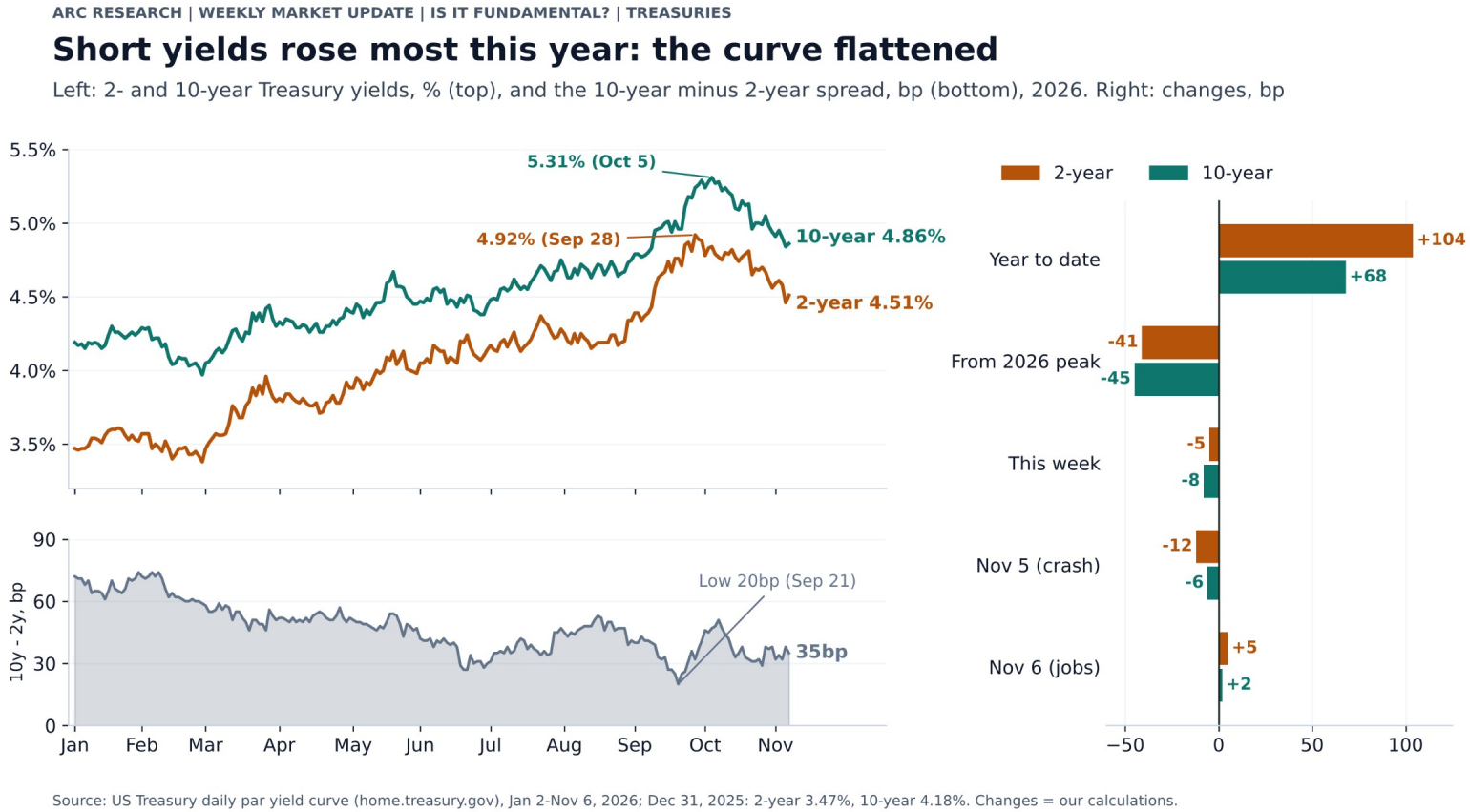
SO WHAT

Stocks yield ~0.4 pt over bonds

Crash day: 2-yr −12bp

Growth must do the work

2-year +104bp this year, 10-year +68bp



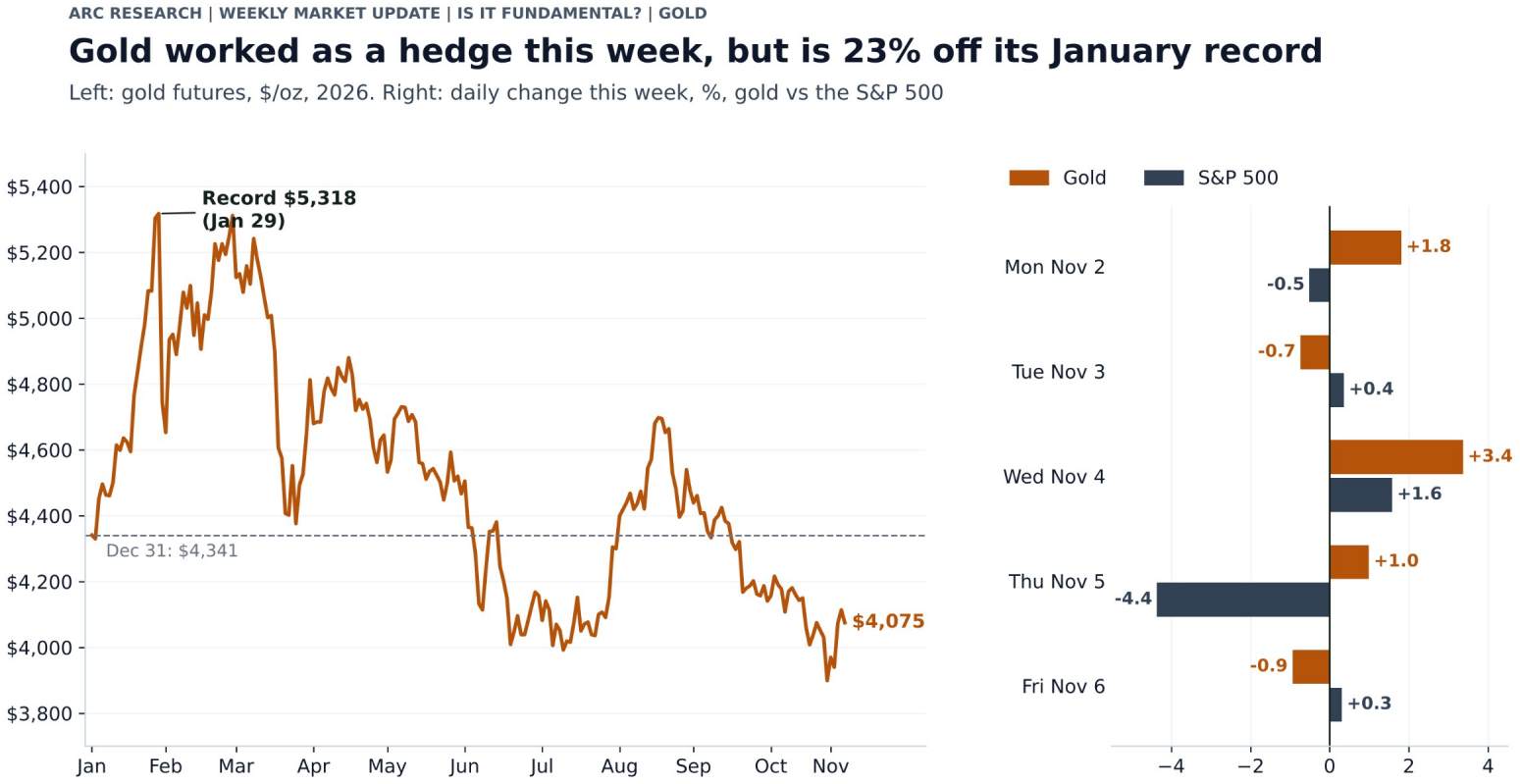
SO WHAT

Market priced Fed hikes: 2-year led

Both ~40bp off their autumn peaks

Jobs report pushed the 2-year back up

Gold hedged the crash, but trails stocks this year



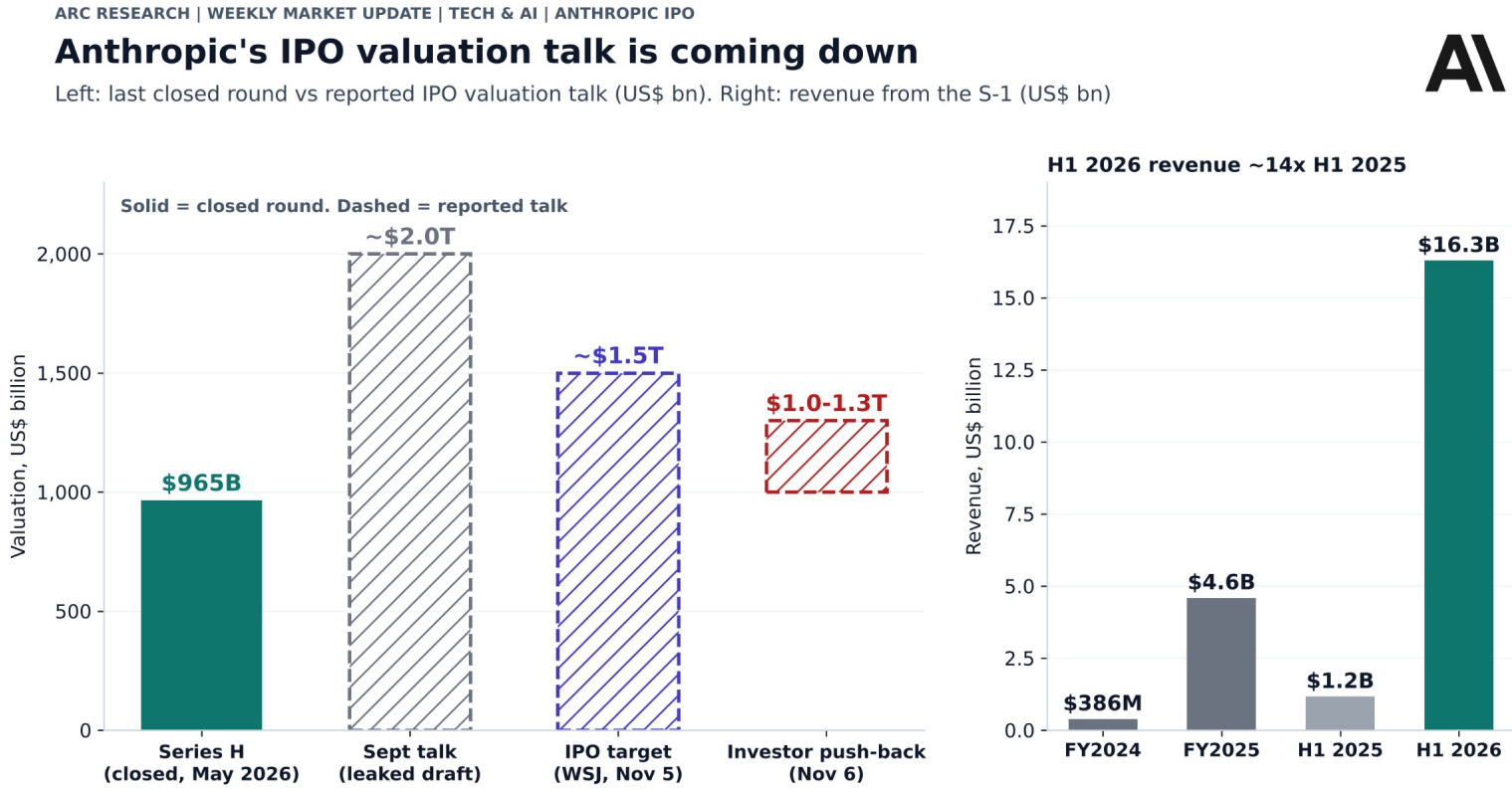
SO WHAT

+4.5% this week; up on crash day

−23% from Jan record, −6% this year

Hike odds and a firm dollar cap it

Anthropic’s $1.5T IPO target meets push-back



Source: closed round, Anthropic via TechCrunch (May 28, 2026: $65B raised at $965B post-money). IPO talk, all anonymous-sourced: ~$2T leaked Sept draft (Decrypt, Forbes); ~$1.5T target, up to $100B raise (WSJ, Nov 5); $1.0-1.3T investor push-back (Bloomberg / WSJ via Yahoo Finance, Nov 6). No price range filed. Revenue: Form S-1, SEC EDGAR, Oct 26, 2026.

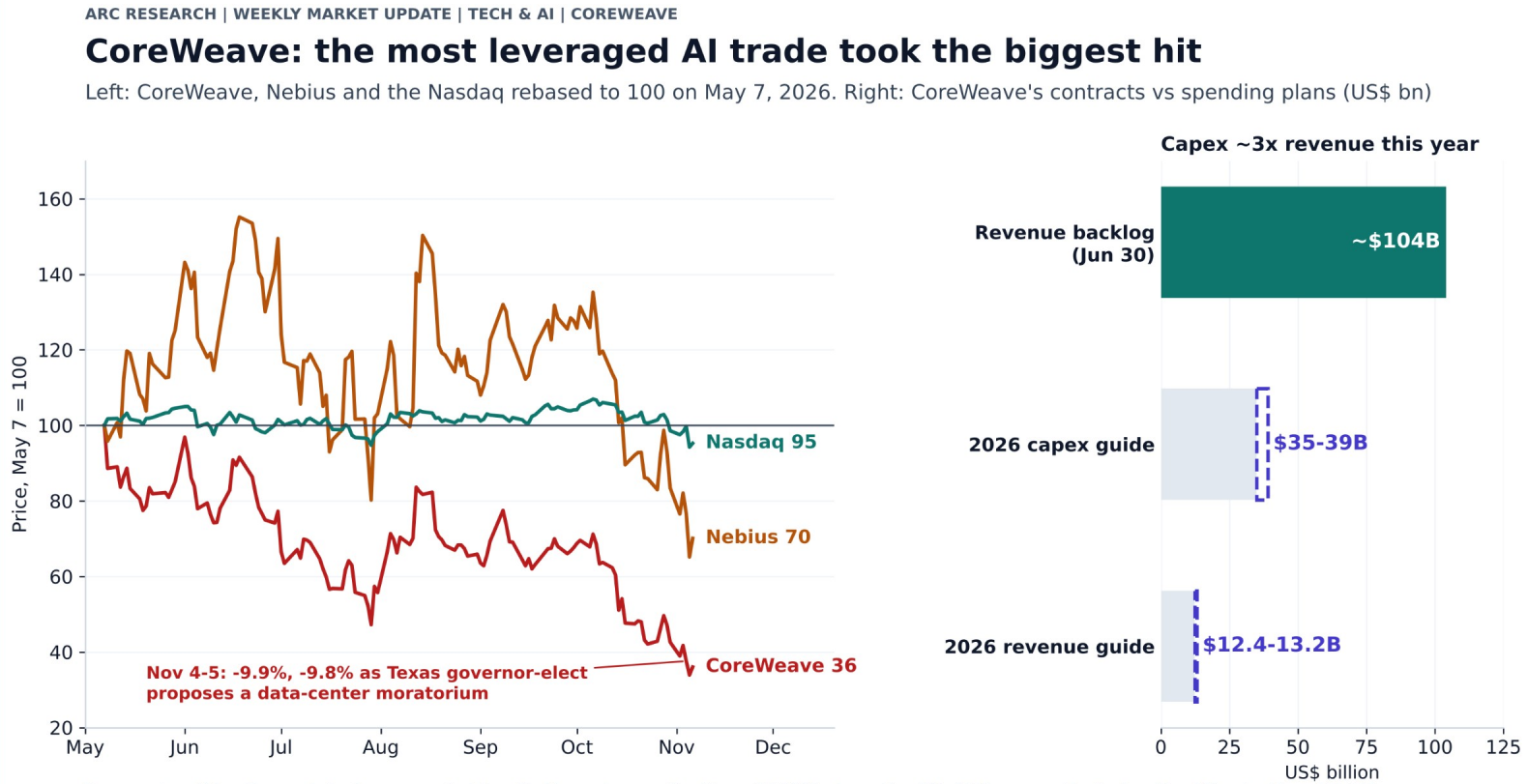
SO WHAT

Target ~$1.5T, up to $100B raise

Investors: $1.0–1.3T

Last closed round: $965B

CoreWeave: the leveraged AI trade broke



SO WHAT

−64% from May high, −15% this week

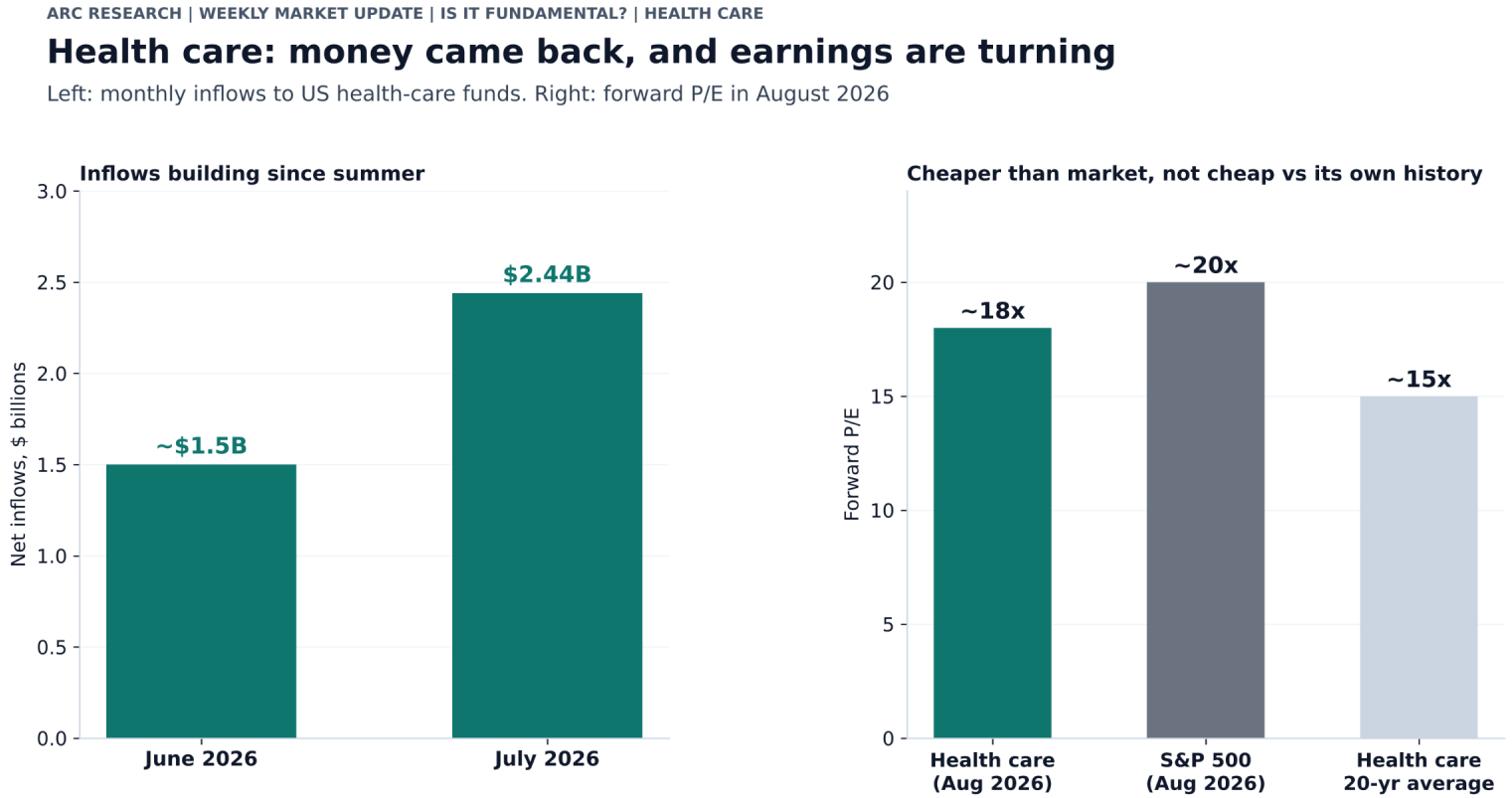
2031 bonds at 79.5¢

Capex ~3x revenue; results Nov 10

Learn more about data centers

arcresearch.markets/dashboards/data-centers

Health care: money is back, earnings turning



SO WHAT

Inflows since summer

Double-digit EPS from Q4

Cheap vs market, not history

SECTION 4 OF 4

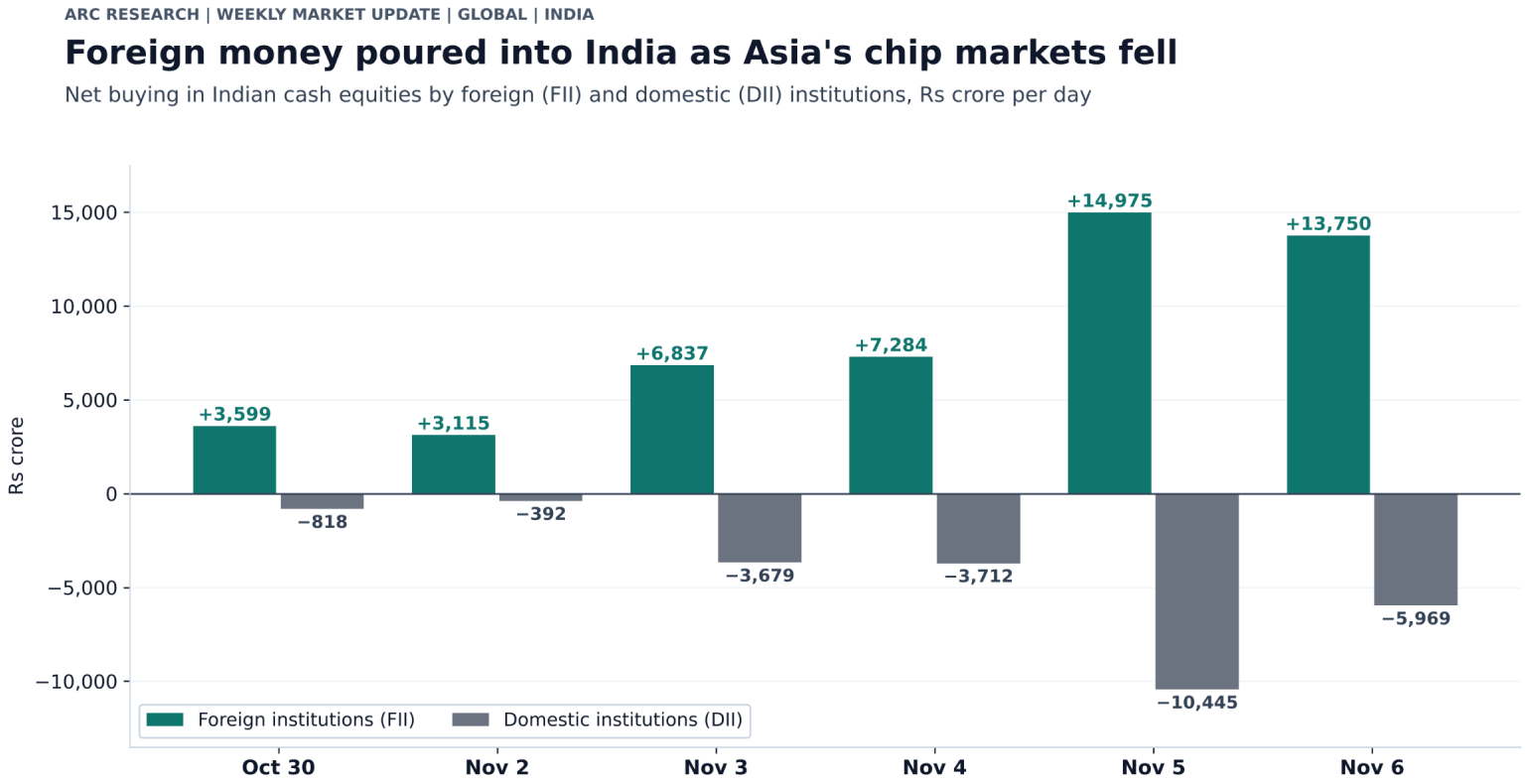
Global: Asia

Money left Korea and Japan's chip markets for India

33 Record foreign buying
34 India sectors and valuations
35 Asia on Friday: map
36 Korea and Japan

GLOBAL · INDIA FLOWS

Foreign money poured into India



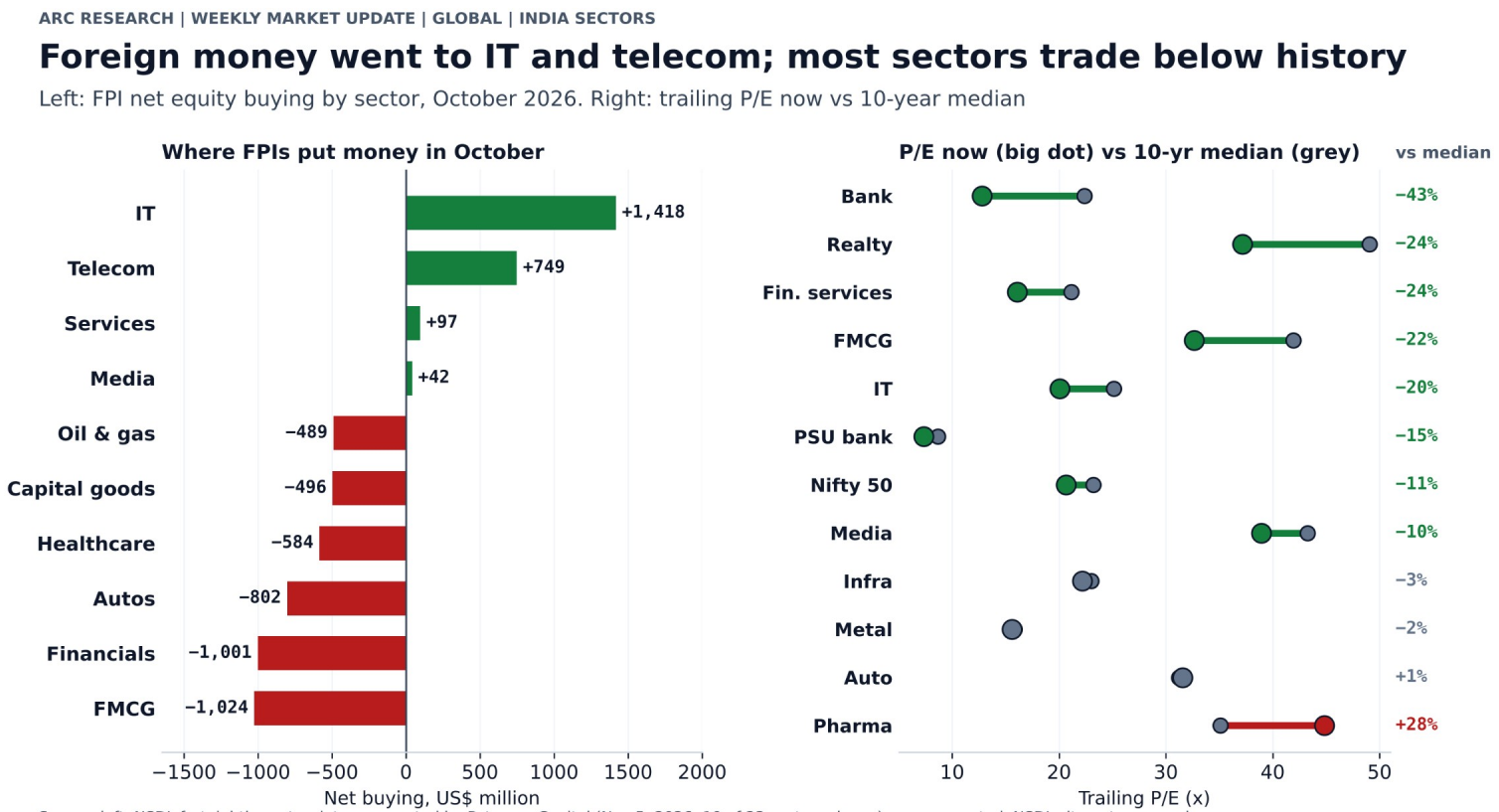
SO WHAT

Nov 5: ~$1.6B, most in ~6 yrs

Buying began pre-election

Domestic funds sold into it

Buying IT and telecom; banks look cheapest



Source: left, NSDL fortnightly sector data as reported by Paterson Capital (Nov 5, 2026; 10 of 23 sectors shown); press-reported, NSDL site not accessed.
Right: IndexPE (aggregator of NSE daily index P/E; median method not published), Nov 5-6, 2026; current values cross-checked with craytheon.com. Trailing 12-month P/E.

SO WHAT

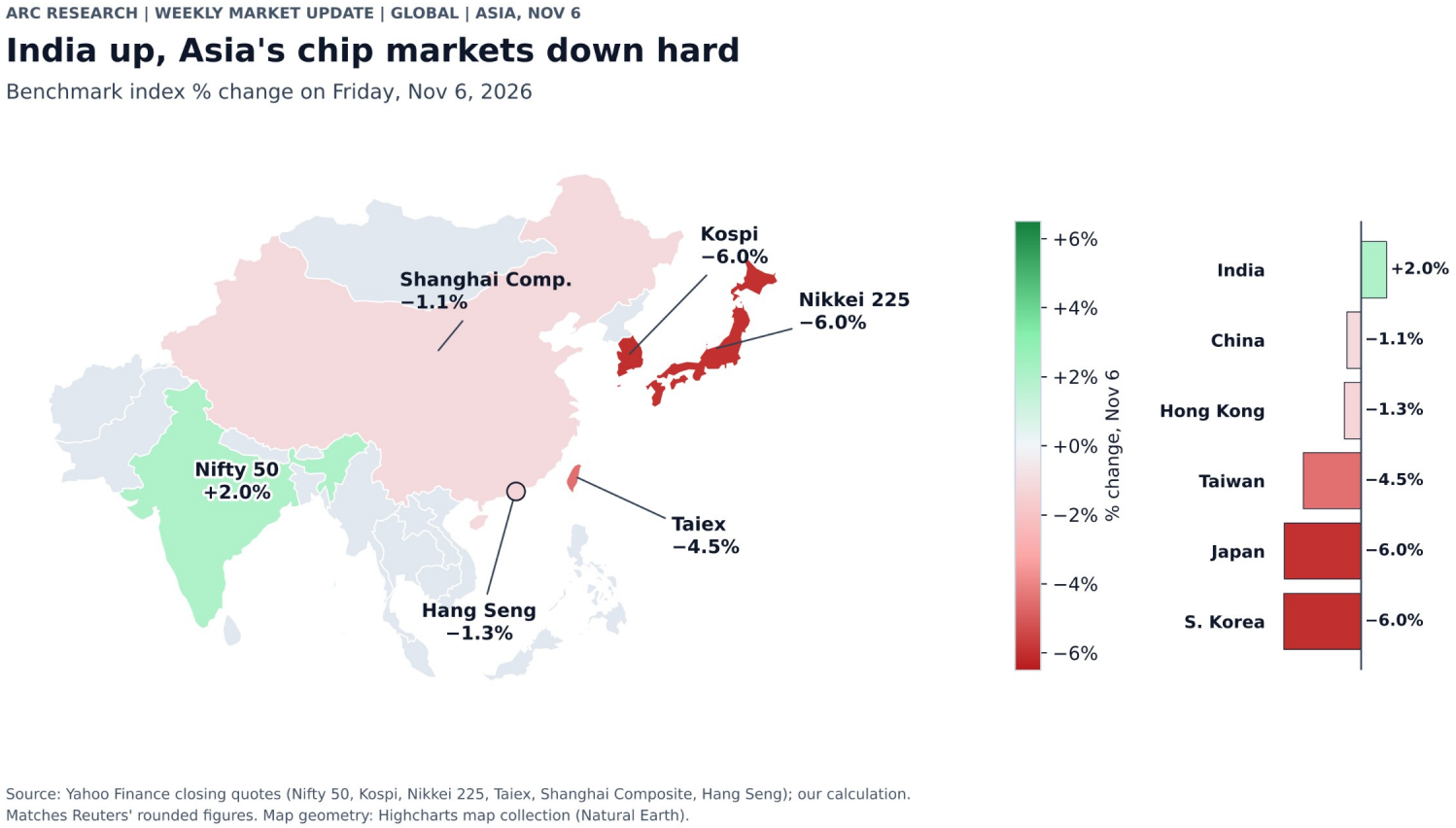
IT +$1.4B, telecom +$0.7B

Banks 43% below 10-yr P/E

Pharma the one premium

GLOBAL · ASIA, NOV 6

India up, Asia’s chip markets down hard



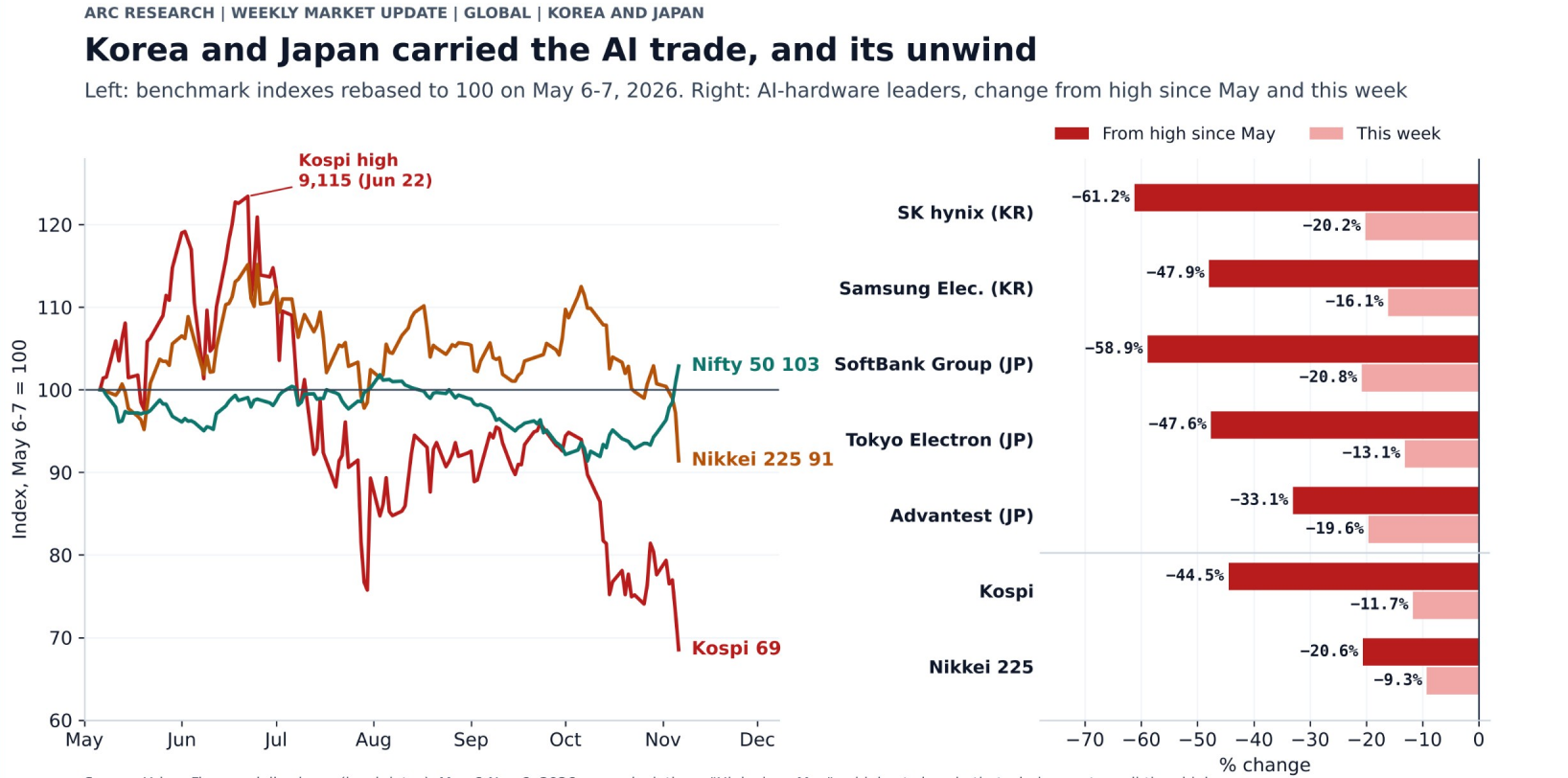
SO WHAT

Nifty +2.0%, best week since 2021

Kospi, Nikkei −6.0%

China, HK fell ~1%

Korea and Japan took the AI unwind



SO WHAT

Kospi −45% from June high

Foreigners sold ₩2.8T Friday

Nikkei −9.3%: worst week since 2025

ARC RESEARCH VIEW (A VIEW, NOT ADVICE)

Relief rally, not repair: four signposts

1 · Earnings revisions

Risk premium up: need EPS upgrades

Watch: forward EPS, 10-yr vs 5%

2 · Trend repair

Nasdaq below its 200-day

Watch: 25,100 Nasdaq, 7,325 S&P

3 · Rotation

Broadening or just hiding?

Watch: RSP/SPY on Nasdaq down days

4 · Stress gauges

Forced selling may not be done

Watch: VIX below 20, India FII flows

SOURCES

Where the numbers come from

Prices · Yahoo Finance daily closes (indexes, sector ETFs, RSP/SPY, VIX, stocks, Asia); our calculations

Flows · JPMorgan via Bloomberg (Yahoo republication); Goldman via Reuters

Earnings · FactSet; company 8-Ks and releases; Yahoo Finance

Asia · NSE, NSDL via Business Standard, Paterson; IndexPE; Seoul Economic Daily; Reuters

Cross-checks · Motley Fool, Yahoo live blog, Saxo, StockTitan, Cappnotes, Tapeboard

Vol & bonds · Cboe via Saxo; US Treasury par yield curve

Health care · LSEG Lipper, LSEG I/B/E/S via Reuters; IG

Midterms & history · ABC News, Fox Business; LSEG / FTSE Russell, First Trust

"Ours" = ARC Research calculation. Dropped as unverifiable: see notes. Educational purposes only, not investment advice.